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An IDEV **Country Strategy Evaluation**

Tanzania:

Mid-Term Evaluation of the AfDB's Country Strategy and Program (2021–2025)

Summary Report

AFRICAN DEVELOPMENT BANK GROUP

September 2023

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September 2023

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Tanzania: Mid-Term Evaluation of the AfDB's Country Strategy and Program (2021–2025)– Summary Report
IDEV Country Strategy Evaluation, September 2023

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Abbreviations and Acronyms

ADB	African Development Bank
ADF	African Development Fund
AFAWA	Affirmative Finance Action for Women in Africa
AfDB	African Development Bank Group
AFRAP	Africa Franchise Accelerator Project
AHFR	Agricultural Finance and Rural Development
AHWS	Water Development and Sanitation Department
AIDS	Acquired Immunodeficiency Syndrome
ASUWSP	Arusha Sustainable Urban Water Supply Project
COTZ	Country Office Tanzania
CPIP	Country Portfolio Improvement Plan
CPPR	Country Portfolio Performance Review
CRC	Credit Risk Committee
CRDB	Cooperative and Rural Development Bank
CSO	Civil Society Organization
CSP	Country Strategy Paper
DP	Development Partner
DSA	Debt Sustainability Analysis
EAs	Executing Agencies
ECCE	Country Economics Department
ECGF	Governance and Public Financial Management Coordination Office
ECSIP	Economic Competitiveness and Social Inclusion Program
EDCF	Korea's Economic Development Cooperation Fund
EQ	Evaluation Question
ESIA	Environmental and Social Impact Assessment
ESMP	Environmental and Social Management Plan
ESW	Economic and Sector Work
EWURA	Energy and Water Utilities Regulatory Authority
FYDP	Five-Year Development Plan
GDP	Gross Domestic Product
GoT	Government of Tanzania
GW	Gigawatt
HPP	Hydropower Project
ICT	Information and Communication Technology
IDEV	Independent Development Evaluation
IMF	International Monetary Fund
IOP	Indicative Operational Program
IPR	Implementation Progress and Results Report
ISP	Institutional Support Project
ISPGG III	Institutional Support Project for Good Governance III
JC	Judgement Criteria
JICA	Japan International Cooperation Agency
kV	Kilovolt
LOC	Line of Credit
M&E	Monitoring and Evaluation
MoFP	Ministry of Finance and Planning
MSME	Micro, Small and Medium Enterprise
MTE	Mid-Term Evaluation
MTR	Mid-Term Review
MW	Megawatt
NSO	Non-Sovereign Operation
NWG	North-West Grid
PCR	Project Completion Report
PEFA	Public Expenditure and Financial Accountability
PESD	Power Systems Development Department
PESR	Energy Financial Solutions, Policy and Regulation Department

PFMRP	Public Financial Management Reform Program
PICU	Infrastructure and Urban Development Department
PIFD	Financial Sector Development Department
PITD	Industrial and Trade Department
PIU	Project Implementation Unit
PPP	Public Private Partnership
PSMP	Power System Master Plan
RAP	Resettlement Action Plan
RDGE	East Africa Regional Development and Business Delivery Office
SAPZ	Special Agro-Industrial Processing Zone
SME	Small and Medium-Sized Enterprise
SNDR	Department for Delivery, Performance Management and Results
SOs	Sovereign Operations
TADB	Tanzania Agricultural Development Bank
TANESCO	Tanzania Electric Supply Company Limited
TANIPAC	Tanzania Initiative for Preventing Aflatoxin Contamination
TANROAD	Tanzania National Roads Agency
TDV	Tanzania Development Vision
TSSP	Transport Sector Support Program
TVET	Technical and Vocational Education and Training
TYS	Ten-Year Strategy
TZS	Tanzanian Shilling
UA[1]	Unit of Account
UNDP	United Nations Development Program
USD	United States Dollar
VAT	Value-Added Tax
WB	World Bank
XSR-EN	Expanded Supervision Report Review Note

[1] Unit of Account (UA) = 1.34701 United States Dollar (USD) as at June 2023


MSALATO AIRPORT
PKG ONE

Executive Summary

Introduction

This report presents the key findings, lessons, and recommendations of the mid-term evaluation (MTE) of the African Development Bank Group (AfDB or "the Bank")'s country strategy paper (CSP) for Tanzania for 2021–2025, as of March 2023. The main purpose of the MTE is to assess the implementation and performance thus far, and to provide inputs and recommendations to the Bank Management to adjust, as necessary, the design and implementation of the strategy and program in Tanzania for the remainder of the CSP period.

Methodology and Limitations

The MTE is formative and focusses on learning. It compares the Bank's expected results with results actually achieved and draws lessons for the remaining period of the CSP. The MTE uses a theory-based approach and applies the international evaluation criteria of relevance, coherence, effectiveness, efficiency, and sustainability to assess the performance of the Bank's strategy and program. Data was derived from various sources and was triangulated to support the findings. The sources included document reviews, interviews, focus group discussions, and site visits. These were complemented by a portfolio review and project results assessments.

Assessing the effectiveness and sustainability of the Bank's interventions was made challenging by the limited number of projects completed over the evaluation period. To draw lessons, the evaluation team conducted a comprehensive project results assessment for projects that were nearing completion and included a few projects approved before 2021 that had recently been completed. In terms of sustainability, the MTE mainly examined the soundness of institutional and financial arrangements in the project appraisal reports of ongoing projects and the extent to which implementation challenges affected the likelihood that the Bank's interventions would be sustained.

The Bank's Strategy and Program in Tanzania, 2021–2025

The CSP for 2021–2025 was approved in December 2020 with the goal of supporting Tanzania's vision of becoming a competitive and inclusive economy. The CSP is structured around two priorities for Bank support: (i) sustainable infrastructure for a competitive economy; and (ii) an improved private sector business environment for job creation. The CSP states that the Bank will mainstream cross-cutting issues such as climate change, fragility, and gender into all its lending and non-lending operations under both priority areas. The Bank is also to have conducted continuous policy dialogue and analytical work to underpin and inform its support throughout the CSP period.

As of March 2023, the Bank's active portfolio in Tanzania consisted of 24 projects (21 sovereign and three non-sovereign) totaling **UA 2 billion (USD 2.7 billion)**. Of these projects, 18 were national and six multinational. The portfolio counted seven projects approved under the CSP 2011–2015, 11 approved under the CSP 2016–2020, and six approved under the current CSP, which covers 2021–2025. In the first half of the implementation period for the 2021–2025 CSP, the Bank approved six projects, of which one was a non-sovereign operation (NSO), amounting to UA 428.28 million. The active portfolio is focused on infrastructure (about 56.0% for transport, 18.0% for power, and 2.6% for water supply and sanitation). The remaining sectors comprise finance (6.8%), agriculture (4.0%), social (1.6%), and governance and other sectors (1.0%). The portfolio is dominated by loans (97.4%, or UA 1,952 million) and investment projects (92.0%). It is funded by the African Development Bank (ADB) window (53.6%) and the African Development Fund window (34.5%).

Findings

Relevance

The Bank's 2021–2025 strategy and active interventions were found to have been and to remain highly relevant to the country's development needs, including the COVID-19 pandemic and post-COVID-19 challenges. The strategy and program were found to be aligned with the development plans specified in Tanzania's Development Vision, with Zanzibar's Development Vision 2050, and with the country's successive five-year development plans (FYDPs), including the current FYDP III. The focus of the Bank's program on sustainable infrastructure and the private sector business environment seeks to address the large infrastructure deficit identified in the Bank's Country Diagnostic Note. The strategic objectives and the projects identified in the focus areas of the CSP align fully with Tanzania's sector development strategies. In the energy sector, for instance, the Bank's support aligns with Tanzania's objective of increasing access to modern energy and enhancing the availability, affordability, and reliability of the power supply as outlined in the Power System Master Plan of 2016, which was updated in 2020. The Bank's strategy and program in the transport sector align with Tanzania's FYDP III, which identified a series of interventions in roads, ports, airports, and railways to enhance transport competitiveness and promote an inclusive economy. By focusing on the construction and rehabilitation of water supply infrastructure and sanitation facilities, the Bank's support for water supply and sanitation is helping Tanzania meet increasing demands for clean drinking water and sanitation services. In the governance sector, the Bank supports reforms in public finance management and the business-enabling environment. This focus is consistent with FYDP III, which features good governance and business environment reforms as two drivers to boost investments in Tanzania.

The MTE also found a few shortcomings. In the agriculture sector, for instance, there seems to be a disconnect between the strategic orientations laid out in the CSP and the program actually implemented. The Bank's portfolio only partially corresponds to the CSP's strategic orientations, as it has not yet focused on support for agro-industrial zones nor responded well to the Government of Tanzania's expectations for irrigation infrastructure. In the governance sector, the Bank's assistance remains relevant, but the design of the Institutional Support Project for Good Governance III was complex, with many activities spread across the country and among several beneficiary institutions. Moreover, the large number of institutional beneficiaries directly covered by the project (about 13) was found to have engendered coordination challenges, especially in the context of COVID-19 and the move of Tanzania's administrative capital from Dar es Salaam to Dodoma. Some beneficiaries interviewed by the evaluation team complained about high transaction costs and implementation delays as a result of small institutional projects covering many beneficiaries.

The CSP 2021–2025 was found to be well-designed, with clear strategic objectives and performance indicators. It outlined the lending and non-lending programs for the period 2021–2023 in detail and includes a monitoring and evaluation plan to track implementation. The CSP considered the potential economic impact of COVID-19 on Tanzania, but did not explain the constraints, mitigation measures, or potential impact of the pandemic on the Bank's strategy or the implementation of the Bank's program.

The strategic objectives for Tanzania set out in the CSP were found to exceed the resources available for the country program. The change in Tanzania's debt sustainability status from low to moderate risk as a result of COVID-19 and the delay in finalizing Tanzania's reclassification to blend country status under the AfDB's Credit Policy modified resource projections, causing many projects to be rescheduled or dropped.

While the quality at entry of the Bank's projects was generally assessed as good, several shortcomings were found in infrastructure projects, notably as regards the quality of engineering design, the lack of a multi-sectoral perspective, and the absence of baseline data. For instance, many projects require the involvement of different sectors (power, water and sanitation, transport, etc.), but this involvement was not always factored properly into implementation arrangements. This led to protracted disputes between the implementing agency and utility owners, and adversely affected project implementation. The stalled relocation of a 220 kV line on the Dodoma ring-road is an extreme example.

Coherence

In general, the interventions implemented in Tanzania as part of the Bank's country program were found to demonstrate positive synergy, even though some interventions displayed limited internal synergy in their design across various sectors. A combination of investments, budget support, and institutional support was found to be instrumental in addressing the physical infrastructure deficit and the capacity gap and in supporting key reforms. However, in a few cases, infrastructure projects did not always factor a cross-sectoral perspective into implementation arrangements.

The evaluation found clear evidence of the Bank's engagement in policy dialogue and coordination with development partners. The Bank is participating in relevant thematic and sector working groups in Tanzania, such as the Transport Sector Group, the East Africa Community Donor Coordination Working Group, and Tanzania's Public Finance Management Reform Group. Evidence of joint strategic planning exists, and the Bank is a member of the Development Partner Group, through which development partners engage with the government and other stakeholders to strengthen development cooperation. There is also clear evidence of the joint implementation of support activities. A good example is in the water and sanitation sector, where the Bank and the Government of Tanzania coordinate their efforts through the Water and Sanitation Development Partner Working Group.

Effectiveness

Relatively few Bank operations that had been planned for 2021–2025 had been approved as of March 2023. In CSP Priority Area I, which includes transport, energy, and water and sanitation, only three of the 10 projects slated for approval by 2023 were realized with the Bank's support. Two were funded by other development partners and five were rescheduled, two of which were for the next CSP period. The situation is similarly unfavorable for Priority Area II, where only two of the eight operations in the indicative operational program (IOP) were approved (also approved was one unplanned emergency operation under the African Emergency Food Production Facility). Two more projects are expected to be approved in 2023, and the remainder have been dropped or rescheduled. On average, just 32.2% of planned resources were committed.[2]

Although little of the IOP has materialized so far, **most ongoing operations were found to have a reasonably high probability of achieving their expected outputs and outcomes at completion.** However, the likelihood of achieving all the outcomes planned for the CSP by 2025 was found to be low, due to the gap between the initial IOP and the program actually being implemented.

As of March 2023, no projects in the governance sector had been approved under the current CSP. However, the Bank was found to have provided significant support for good governance and the business-enabling environment, notably through operations that had been approved under the previous CSP. These include support for policy reforms and institutional support to public finance management institutions such as the

Tanzania Revenue Authority, the Tanzania Petroleum Development Corporation, the Petroleum Upstream Regulatory Agency, and the Business Environment Unit. Overall, the Bank's support was found to be effective: it improved unqualified audit opinions to 96%, exceeding the target of 95%. Public Expenditure and Financial Accountability (PEFA) scores for external audits improved from a lower D at the beginning of the Public Financial Management Reform Program (PFMRP) to B at the end of the project. However, targets to reduce expenditure arrears from 5% to 2% have yet to be achieved.[3]

Regarding the private sector, the Bank's support for the business-enabling environment was found to have achieved good results. The Bank-supported blueprint for regulatory reform to improve the business environment, along with other reforms, was found to be very effective in promoting private sector development by operationalizing online business registration, licensing, and the Electronic Payment Gateway. This reduced the time required to register a business from six days to one day.

However, if the Bank is to scale up its support for Tanzania's private sector as planned, more efforts will be required. Three of the four NSOs planned in the current CSP's IOP were dropped, mainly because of changes in clients' interests. The only operation approved is the line of credit to the Cooperative and Rural Development Bank (CRDB) for about UA 42.7 million (approximately 50% of the ADB NSO envelope for Tanzania). The results from the Bank's previous line of credit to CRDB, approved in 2016 under the previous CSP, are mixed. According to the Expanded Supervision Report Evaluation Note (XSR-EN), CRDB was expected to provide an on-lending facility to support infrastructure projects and small and medium-sized enterprises (SMEs). But while 63 corporations benefitted from the on-lending facility, none of the five infrastructure projects approved by the Bank materialized. Moreover, only 16% of the facility was allocated to SMEs against a target of 25%. In the context of the country's reclassification and with the perspective of additional ADB NSO resources becoming available in the coming years, the Bank has a good opportunity to build a strong NSO pipeline that reaches beyond lines of credit.

The lack of data at mid-term meant that the MTE was unable to assess the achievement of targets for skills development.

In the agriculture sector, none of the interventions planned in the 2021–2025 IOP has yet been approved. The active portfolio mainly addresses crises from recent years, such as aflatoxin contamination, drought, and the spillover effects of Russia's invasion of Ukraine[4] (the latter through the approval of the unplanned Tanzania Agricultural Inputs Support Project in July 2022 within the framework of the African Emergency Food Production Facility). However, the portfolio was found to be responsive to Tanzania's immediate demands, and the Bank and the Government of Tanzania coordinated their efforts to implement it. The recently completed Tanzania Agricultural Development Bank (TADB) support project, for example, achieved a 70% execution rate for most of its key outputs. Yields of paddy rice increased by 122%, well above expected results (50%). TADB has provided funding to 198 sub-projects with USD 104 million, using over 92% of the ADB's loan. However, TADB's portfolio is skewed towards large clients and cooperatives, which represent 44% and 45% of the capital disbursed, respectively. Nevertheless, through the cooperatives, TADB's support benefited about 1,234,120 smallholder farmers.

The Bank's support for the water and sanitation sector was found to be effective, although the only project approved under the current CSP is in the initial stage. The effectiveness of the Bank's water sector portfolio largely reflects that of the Arusha Sustainable Urban Water Supply Project (ASUWSP). By the end of November 2022, the overall implementation of ASUWSP stood at 90.6% and the project was found to have delivered good results. Access to safe drinking water reached almost 100% in Arusha and the targeted 30% of the region's population has access to sanitation. The project results assessment also showed that the average hours of water services improved from 16 to

19 hours per day, with most beneficiaries receiving water at their private plots. Although the Dodoma Sustainable Water and Sanitation Project is also in its initial stages, it, too, was found to be moving forward satisfactorily, and the Kikonge project delivered a detailed feasibility study that addresses costing and prepares the terms of reference for an environmental and social impact assessment.

The transport projects in the Bank's active portfolio in Tanzania were found to be making solid progress despite implementation delays. Only one project, the Mnivata–Newala–Masasi Road Upgrading Project, has been approved under the current CSP: it is in the starting phase, with a 0.26% disbursement rate. Regarding the other ongoing projects, the Transport Sector Support Program (TSSP) was found to have contributed to the upgrade of 431 km of roads and the rehabilitation of 31 km, as targeted. About 350 people (above the target of 300) have been trained, and four feasibility studies for road and air transport projects were completed, rendering new projects ready to be included in the pipeline. Some outputs of Phase 2 of the Bus Rapid Transit Project have already been delivered, including 19 km of roads of the 20.3 km targeted, two of five terminals projected, six feeder stations and one depot as planned in the project design. The degree to which these projects have improved mobility and air quality can only be assessed upon completion of the projects, but the project site visit and the interviews with stakeholders confirmed that mobility is improving steadily.

The Bank's support in the energy sector was found to have made a positive contribution to Tanzania's power generation and distribution capacities. As of March 2023, Tanzania's active energy sector portfolio includes five projects, of which one was approved under the current CSP but has not yet reached effectiveness. The four remaining projects were approved under the two previous CSPs. The portfolio includes one aged project, the Rusumo Falls Hydropower Transmission Line Project–Tanzania (the transmission component). This project was approved in 2013 but as of March 2023 had only disbursed 53% of its funds because of poor performance on the part of the contractor. The project aims to increase electricity supply capacity and the electrification rate, which was about 26% in 2022, to 30% by the end of the project. For the Kenya–Tanzania Power Interconnection Project, as per the June 2022 implementation progress and results report, the rural electrification sub-component is about 92% complete, and the population with grid access living within the neighborhood of the transmission line has increased to 64,000 persons (50% of the final target). Progress toward the construction of the 400 kV transmission line (414 km) is at about 93% and 1,660 of 2,000 rated substations are completed. The cross-border power trade can only be fully assessed once the upstream and downstream infrastructure has been commissioned and made fully operational.

Efficiency

Efficiency was not found to have been demonstrated across all sectors, with larger infrastructure interventions being especially prone to delays. Part of the delays can be explained by pandemic-related movement restrictions and trade disruptions, but delays also appear to be the result of poor project readiness and, in a few cases, delays in releasing counterpart funding.

Implementation timeliness was found to be a recurrent issue in all sectors, but the Bank has not compromised its operating standards. In the power sector, startup delays translated into an average of nine months to effectiveness and 16 months to first disbursement, and in the transport sector, delays were six months and 13 months-well beyond the limits set in AfDB Presidential Directive 02/2015.[5] Public sector operations approved under the current CSP performed better than operations previously approved, with an average of six months to first disbursement for all projects except the Mnivata–Newala–Masasi (160 km) road upgrade, which took nine months. In terms of NSOs, the CRDB's line of credit took 10.73 months before entering into force. Overall, the review found five projects to have been extended, with an average delay of 2.2 years. The Institutional Support Project for Good Governance III suffered the longest delay (three years) and was extended three times before completion in June 2022.

Cost efficiency is an important factor in a project's success. The escalation of the price of building materials due to the global economic recession was found to have had a negative effect on cost efficiency in the Tanzania Initiative for Preventing Aflatoxin Contamination Project. However, stakeholders indicated that the overall resources allocated to the project are likely to yield the expected results at an acceptable cost, and significant additional resources have not been requested. In the transport sector, significant savings were noted after project completion. For instance, the savings on the TSSP project are more than USD 86.07 million, representing almost 35% of the project's projected cost, even though all main planned activities were implemented. Generating savings seems to be common for new contractors, especially when projects are funded by development partners instead of national budgets, as development partners' processes for payment are more efficient. However, such large savings might become a concern, and more accurate costing would allow resources to be allocated efficiently among projects from the beginning. In addition to the issue of savings on completed projects, the MTE found a high volume of uncommitted resources in ongoing projects in the transport sector.

The quality of the portfolio was found to be weakened by slow disbursements and procurement delays. The average age of the active portfolio is 3.43 years, and some projects - the Rusumo Falls Hydropower Transmission Line - Tanzania (the transmission component), the East African Centers of Excellence, and the Kenya - Tanzania Power Interconnection - are more than eight years old. The Bank's portfolio flashlight report for the first quarter of 2023 indicated that the implementation of infrastructure projects, especially multinational ones, is a cause for concern. Of the 24 active projects, five were under close watch and six were flagged, primarily due to slow disbursements and procurement delays.

Sustainability

The Bank's strategies and programs were found to consistently address sustainability issues by investing in capacity building, training, policy dialogue, and advocacy. The Bank's active portfolio includes capacity-building activities in all sectors to increase the likelihood of sustainability.

The technical sustainability of the Bank's projects was found to be ensured through the quality of the design and the engineering works. This is particularly the case in the energy, water and sanitation, and transport sectors, where the quality of the feasibility studies of most of the Bank's projects was found to be sound. Widely recognized, proven technology was used when constructing new infrastructure.

Despite attention to the quality of design and the engineering works, inadequate tariffs can threaten projects' sustainability, especially in the energy and water and sanitation sectors. Within the ASUWSP framework, a study was undertaken to propose tariffs to recover costs and ensure the system's sustainability, considering the social nature of water services and the importance of affordability. However, in Arusha, the tariffs calculated by the study are not applied: current tariffs are those that were fixed for 2019–2020 based on the regulatory authority's estimations. In the energy sector, tariffs in Tanzania are not cost-reflective as they only cover about 85% of the cost of service. This limits the ability of Tanzania Electric Supply Company Limited (TANESCO) to finance new infrastructure. TANESCO's financial position is also a concern, as it could compromise the sustainability of all investments in the sector. Efforts by the Government of Tanzania, with the support of development partners, to improve TANESCO's financial position are currently underway.

Financial sustainability was found to be a major risk for the Bank's transport portfolio in Tanzania. The Road Fund, established to collect and provide dedicated funds for road maintenance (mainly from the fuel levy), reports a financing gap of about 62% of the total annual costs required to maintain the road network. Mobilizing additional funds to fill the financing gap for road maintenance is crucial to ensure the sustainability of the Bank's investment.

Cross-Cutting Issues

The Bank's 2021 Country Diagnostic Note assessed cross-cutting issues such as gender, youth, and inclusiveness, but these were not systematically built into the projects' monitoring and evaluation systems.

Conclusion

Overall, the Bank's CSP 2021–2025 for Tanzania was found to be well-designed and aligned with the country's development plans, despite a few shortcomings. Tanzania's change in debt situation from low to moderate risk, and the delay in the country's reclassification under the AfDB's Credit Policy, have modified initial resource projections, causing many projects to be rescheduled or dropped. Ongoing operations were found to have a high probability of achieving their outputs and outcomes at completion. However, the likelihood of achieving all the CSP's planned outcomes by 2025 was found to be low, due to the gap between the initial IOP and the program actually being implemented. Efficiency was not found to have been demonstrated across all sectors. Moreover, sustainability requires close attention. While the Bank's 2021 Country Diagnostic Note included an assessment of cross-cutting issues, these issues have not been systematically built into projects' monitoring and evaluation systems.

Lessons

Three key lessons can be drawn from the MTE of Tanzania's CSP:

Lesson 1: Planning infrastructure projects in an integrated and inter-sectoral manner can contribute to timely implementation by ensuring prior agreement between sector agencies. This is especially important for the relocation of utilities.

Lesson 2: Focusing governance and business-enabling support in areas that are tightly concentrated on quick-win solutions and complement other Bank operations, can be instrumental in rendering governance reforms more effective and sustainable.

Lesson 3: Flexibility in the Bank's response can help mitigate the internal and external implementation challenges that arise in a crisis.

Recommendations

Based on the MTE's findings, IDEV recommends the following:

Recommendation 1: Maintain the Bank's strategic focus in Tanzania on sustainable infrastructure and private sector development, while adjusting the program for the remainder of the CSP to better align it with the resources available.

Recommendation 2: Harmonize the Bank's strategic positioning in the agriculture sector and the actual program for the sector.

Recommendation 3: Bolster private sector operations during the second half of the CSP period, for example by conducting business development missions and building a strong pipeline of NSOs and public-private partnerships in line with the Bank's strategic orientation and the opportunity offered by Tanzania's reclassification to blend country status.

Recommendation 4: Address risks to sustainability, among others by continuing to support the institutional strengthening of utility companies and working with the government to ensure adequate resource allocation to road maintenance and the application of cost-reflective tariffs in the water and energy sectors. ■

Management Response

Management welcomes the Independent Development Evaluation Department mid-term evaluation of the African Development Bank's 2021-2025 Country Strategy Paper for Tanzania. The Evaluation was undertaken concurrently with Management's mid-term review (MTR) of the Strategy. Overall, Management agrees with the Evaluation's conclusions, lessons, and recommendations, many of which are consistent with its findings from the mid-term review. The Evaluation findings and recommendations have been used to inform adjustments in the implementation of the strategy and program during the remainder of the CSP period (2023-2025).

Introduction

The Independent Development Evaluation Department (IDEV) has recently completed a mid-term evaluation (the Evaluation) of the African Development Bank Group's ("the Bank") 2021-2025 country strategy paper (CSP) for Tanzania, covering the first two years of the CSP implementation (January 2021-March 2023). The Evaluation found the Bank's CSP and interventions to be highly relevant to Tanzania's development needs, with the interventions also demonstrating coherence. Tanzania's long-term development framework focuses on attaining high quality livelihoods for Tanzanians and achieving a competitive economy, among others. The CSP's two Priority Areas - (i) sustainable infrastructure for a competitive economy; and (ii) improved private sector business environment for job creation - enabled the design of suitable programs to realize the country's vision of transforming into a competitive and inclusive economy. The Evaluation found that the Bank's strategies and programs consistently address sustainability issues despite some concerns regarding inadequate tariffs and limited road maintenance funds. Furthermore, implementation of the Bank's program faced challenges regarding effectiveness and efficiency.

Overall, Management agrees with the Evaluation's findings, conclusions, and recommendations. For example, the Evaluation's recommendation to maintain the Bank's strategic focus in Tanzania on sustainable infrastructure and private sector development was also reiterated by the government and other stakeholders during Management's CSP mid-term review mission in February 2023. Consequently, the Bank has maintained its strategic focus on the two Priority Areas during the second half of the CSP (2023-2025). Furthermore, the Bank has adjusted its indicative operations program (IOP) for the second half of the CSP to make it more realistic given resource constraints, in line with the Evaluation's recommendations.

Relevance

The Evaluation found that the Bank's CSP and active interventions were and remain highly relevant to the country's development needs, including COVID and post COVID challenges. The strategy and program were found to be aligned with Tanzania Development Vision (TDV 2025) and the successive five-year development plans (FYDPs) including the current FYDP-III (2021/2022-2025/2026). Management agrees with the Evaluation findings and notes that the Government considers the Bank as their "partner of choice" as expressed during the CSP MTR mission in February 2023.

Despite the strong relevance, the Evaluation found a disconnect in the agriculture sector between the strategic orientations laid out in the CSP and the actual program implemented, and the quality of design of governance and infrastructure projects. Specifically, the Bank's portfolio in the agriculture sector has not yet focused on support for agro-industrial zones nor responded well to the Government of Tanzania's expectations for irrigation infrastructure. In the governance sector, the design of the Institutional Support Project (ISP) for Good Governance III was found to be complex, with many activities spread across the country and among several beneficiary institutions.

Management takes note of the finding and observes that the Special Agro-Industrial Processing Zone (SAPZ) Project aimed at supporting agro-industrial zones, was rescheduled for delivery in Q4 of 2024, to give room to an emergency agriculture seeds and fertilizer project approved by the Board in 2022 aimed at mitigating the impacts of Russia's invasion of Ukraine on food security. Once operational, the SAPZ project is expected to deliver the intended agro-industrial zone results. Management also takes note of the thin spread in the design of ISPs and commits to streamline the number of beneficiaries in future ISPs.

Furthermore, the Evaluation found that the CSP objectives exceeded the actual resources available for the program and recommended adjustment of the program for the remainder of the CSP period to make it more realistic. Management agrees with this recommendation and has reduced the sovereign operations (SOs) planned for the second half of the strategy to 8 from the 14 initially planned. Furthermore, following Tanzania's graduation to a Blend country effective October 1, 2022, the Tanzania Country Office (COTZ) requested and received additional resources (Planning Cap) from the Bank's Credit Risk Committee (CRC) for SOs amounting to UA 560 million. The 2023 SOs Planning Cap is significantly higher than the UA 130 million allocated to Tanzania from the ADB window in 2022 (as an ADF-only country benefiting from the ADB resources under the 2014 Revised Credit Policy). The higher indicative resource envelope will enable the Bank to implement the IOP for 2023-2025 with fewer but bigger transformative projects to ensure selectivity. The absence of an updated International Monetary Fund (IMF) Debt Sustainability Analysis (DSA) in 2020 and the first half 2021 caused delays in Tanzania's access to the Bank's ADB sovereign window, which it had relied on in the past to finance large infrastructure projects. An updated IMF DSA became available in August 2021, at which point the Bank restarted Tanzania's graduation process; a process which culminated into Tanzania's reclassification to a Blend Country effective October 1, 2022. Tanzania's debt vulnerabilities have eased in 2023 compared to 2021, with the 2023 Debt Sustainability Analysis indicating that Tanzania now has some space to absorb shocks.

Coherence

Management concurs with the Evaluation that interventions implemented in Tanzania under the Bank's country program demonstrated positive synergy. The Bank's support is complementary under the CSP's two Priority Areas. Developing better infrastructure under the Priority Area I has been instrumental in reducing the cost of doing business, which reinforces the focus on supporting private sector development under Priority Area II. Furthermore, the combination of investment, budget support, and institutional support was very instrumental in addressing the infrastructure and capacity deficits, and accompanying policy reforms. For instance, through its ISPs under Priority Area II, the Bank has actively supported the development of institutional and human capacities for Government agencies engaged in implementing large infrastructure programs under the Priority Area I. The Bank will continue to design integrated projects that deliver cross-sectoral outcomes, by incorporating skills development and social infrastructure such as markets and rehabilitation of hospitals in the Bank's infrastructure projects.

Management acknowledges the Evaluation's finding of Bank engagement in policy dialogue and Development Partner's (DPs) coordination. The Bank co-chairs four sector groups including the DPs Transport Sector Group (since mid-2016), the Energy DPs Group (from July 2022 to June 2024), the East Africa Community DPs Coordination Working Group (since early 2018), and the Poverty Monitoring Group (since April 2013).

In addition, Management agrees with the Evaluation finding of the existence of joint strategic planning with other DPs. Two of the seven operations approved by the Bank Group during the first half of the CSP mobilized USD 208.2 million (approximately UA 154.22 million) in parallel financing from the Agence française de développement (AFD), the European Union (EU), and the Japan International Co-operation Agency (JICA) which were instrumental in increasing the scope of support to the projects beyond the resources availed by the Bank. The Bank will sustain collaboration with other DPs working on similar sectors to consolidate its development support to Tanzania.

Effectiveness

Management agrees with the Evaluation finding that the materialization of the IOP in the first half of the CSP was low. The Bank's CSP MTR made the same observation and noted that the objectives of the CSP during the first half were over-ambitious compared to the actual financing envelop. This led to many projects being rescheduled or dropped, which could affect the delivery of programmed results. Consequently, a more realistic IOP has been designed for the remainder of the CSP period with 8 SOs down from 14 SOs planned in the first half.

In relation to IDEV's finding on the likelihood of achieving CSP outcomes, the Bank's CSP MTR completed in June 2023 noted good progress in achievement of outputs and outcomes despite the dropping and rescheduling of some of the projects. As of March 2023, 4 outputs out of 19 (21%) and 4 outcomes out of 18 (22%) had been fully achieved, while 6 outputs (32%) and 5 outcomes (28%) had been partially achieved. Thus, 10 outputs (53%) and 9 outcomes (50%) were either fully or partially achieved by mid-term. It is noteworthy that the CSP MTR found that an additional 6 outputs (32%) and 9 outcomes (50%) were on track to be achieved by CSP completion in December 2025. Some of the outputs and outcomes from the dropped and rescheduled projects are compensated for by similar outputs and outcomes from the projects that were not in the initial IOP but were approved during the first half of the CSP to respond to emerging development needs. For example, the targeted outcome on increasing maize productivity under the SAPZ, which was rescheduled to 2024, is on-track as farmers are benefiting from improved subsidized seeds and fertilizers provided under the Bank's emergency Agro-Inputs Support Program that was approved in 2022. As part of its quarterly work program review meetings, Management will continue to discuss portfolio implementation to ensure that challenges are mitigated and/or pro-actively addressed. In addition, key actions (such as status and financing of preparatory studies, Environmental and Social Impact Assessment categorization, status of project concept notes, among others) will be monitored to ensure expeditious delivery of the 2023-2025 IOP.

Management also agrees with the Evaluation finding that the ongoing operations, including the Arusha Sustainable Urban Water Supply Project (ASUWSP), have the potential to achieve their outputs and outcomes at completion. By the end of November 2022, overall implementation of ASUWSP stood at 90.6%, with access to safe drinking water reaching almost 100% in Arusha, while the average hours of water services improved from 16 to 19 hours per day, with most beneficiaries receiving water at their premises. In addition, the targeted 30% of the region's population has access to sanitation.

Sustainability

Management agrees with the Evaluation's finding that the Bank's strategies and programs consistently address sustainability issues through investment in capacity building, training, policy dialogue and advocacy. The Bank conducts annual fiduciary clinics for the Executing Agencies (EAs) of Bank projects. However, staff turnover within the EAs poses challenges for effective project implementation. The Bank plans to increase the fiduciary training to twice a year to respond to capacity shortfalls in a timelier manner and ensure sustainability of results from Bank-financed operations. Also, in addition to its ISPs, which aim to strengthen capacities in implementing and oversight agencies, the Bank is mainstreaming 'soft' issues in infrastructure operations notably social components like the rehabilitation of schools and hospitals and training on in-demand skills in transport projects to strengthen ownership, bolster sustainability, and support inclusive growth.

The Evaluation noted that non-cost reflective tariffs can threaten the sustainability of the Bank's projects in water supply and energy sectors. Management agrees with this finding and the Bank is currently engaging the Government through dialogue on options for transitioning to cost-reflective tariffs. Specifically, in 2022, the Bank completed a study on the "Potential for Adopting Cost Reflective Electricity Tariffs in Tanzania" that is informing dialogue with the Tanzania Energy and Water Utilities Regulatory Authority (EWURA) focusing on the implementation of study's recommendations.

Furthermore, Management acknowledges IDEV's finding that whereas the budget allocation for road maintenance was increased during 2020/2021 – 2021/2022, this funding remains inadequate to meet the road maintenance requirements. Management will continue its dialogue with the Ministry of Finance and the Tanzania National Roads Agency (TANROAD) to advocate for increased allocations to the Road Fund.

Efficiency

Management agrees with and takes note of the Evaluation finding that efficiency was not demonstrated across all sectors, an observation that also emerged from the MTR. The portfolio is challenged by start-up delays resulting from difficulties in meeting effectiveness conditions for first disbursement and slow pace of procurement due to weak EAs capacities, partly attributed to staff turnover at the EAs.

During the most recent Country Portfolio Performance Review (CPPR) workshop held in October 2022 and the CSP MTR consultation mission in February 2023, several remedial actions were agreed on, including the early procurement planning, effective use of advance procurement procedures, and providing regular fiduciary training to executing agencies. In addition, to minimize delays in signing loan agreements and attaining loan effectiveness, the Bank and Tanzanian Government agreed that two representatives from the Office of the Attorney General should participate in the loan negotiations to accelerate the submission of the required legal opinion. This has helped to reduce lapse of time from approval to first disbursement. The implementation of the portfolio corrective measures is jointly monitored by the Bank and the government during the quarterly review meetings. Furthermore, the Bank has continued to strengthen the readiness filter, to improve quality at entry, by ensuring that the operations included in IOP have updated studies consisting of detailed engineering designs, and environmental and social safeguards plans. Following consultations with the Government, the Bank now ensures that feasibility studies and detailed designs are completed at least one year before the associated project is prepared for Board consideration. This approach has been applied in the water, transport, and energy sector operations, significantly reducing delays caused by deficient designs. Considering that these studies are implemented as part of ongoing operations, the Bank provides quality assurance and ensures that the studies are consistent with best practices in the respective sectors. The Tanzania Country Office will work with the Fiduciary Services and Inspection Department to identify solutions to quality at entry and slow disbursement challenges.

Despite these challenges, key portfolio performance indicators have recorded improvements between January 2021 and March 2023. Specifically, the average age of SOs portfolio has reduced from 4.4

years to 3.7 years, time-lapse from approval to signature reduced from 2.0 months to 1.6 months, while time lapse from approval to first disbursement also reduced from 11.5 months to 9 months. The cumulative disbursement rate on the other hand increased from 32.7% to 35%, while the average public sector project size increased from UA 75.5 million to UA 88.4 million.

On cost-efficiency, management notes the Evaluation's finding highlighting high volumes of uncommitted resources in the transport sector after all major contracts have been awarded. This finding was also highlighted by the Bank's MTR and the Bank's Internal Audit Report, FR 2023/03, of June 2023. Discussions between COTZ, PICU, and Government on the restructuring of 4 eligible transport sector projects have commenced to commit the resources. Management will restructure these projects for Board consideration by Q4 of 2024.

Cross Cutting Issues

Management welcomes the Evaluation's finding that the CSP took into consideration gender, youth, and inclusiveness during the preparation and design of Bank operations. During the first half of the CSP implementation period, about 500 jobs (out of about 1,500 jobs created) were taken up by women in the ongoing Bank-financed transport infrastructure projects. The Bank in partnership with UN-Women, also undertook an Economic Sector Work (ESW) in 2022 on the Tanzania Gender Profile to map out the gender issues and better inform Bank's gender interventions. Furthermore, Bank-supported projects delivered 120 km of regional roads and 136.5 GWh of renewable energy from hydropower, partly contributing to climate change mitigation by reducing CO2 emissions (kg per 2017 PPP USD of GDP) from 0.0950 in 2020 to 0.0797 in 2023. Regarding jobs for youth, Management concurs with the Evaluation's finding that whereas there is only one project focused on youth employment, several ongoing operations have potentials for creating jobs for the youth. Most of these operations are ongoing and the Evaluation noted that their designs reveal good consideration for addressing youth underemployment, in line with the Bank's strategy for Jobs for Youth in Africa.

Management takes note of the Evaluation's observation that despite adequate situation analysis at entry and proposed interventions to address cross-cutting issues including gender, youth and inclusiveness, their tracking was not systematically built into the project monitoring and evaluation systems, making it difficult to measure progress on the Bank's support for cross-cutting issues. Efforts will continue to be made to include disaggregated gender data into project monitoring and evaluation systems. In this context, the Bank is currently working with the Government of Tanzania, and UN-Women to prepare a Multisectoral Country Gender Profile for Tanzania to assess the status of gender inequality and inform interventions that promote gender equality and women empowerment. The gender profile will inform Bank programing and enhance project monitoring the evaluation systems. Overall, the Bank will continue to ensure that cross cutting issues are systematically included into project monitoring and evaluation systems.

The Bank continues to mainstream civil society engagement in its operations, including consultations with Civil Society Organizations (CSOs) during project designs and preparation. CSOs are actively engaged in the extensive consultative processes for Country Strategy Paper preparation, mid-term reviews, and completion reports.

Lessons and other Points

Management welcomes the three key lessons drawn by the Evaluation on planning of infrastructure projects in an integrated and inter-sectoral manner; focusing governance and business enabling support on selected areas, which are complementary to other Bank operations; and sustaining flexibility of Bank support to respond to internal and external implementation challenges. Management has also drawn additional lessons during the CSP MTR, notably the additionality of proactive engagement with the government in terms of enhancing resource mobilisation for the Strategy. The Bank collaborated closely with the government to reclassify Tanzania to Blend status effective October 1, 2022, which has allowed the country to access more resources from the ADB SO window – UA 560 million in 2023 compared to UA 83 million in 2020 and UA 243 million in 2019.

Conclusion

Management appreciates the Evaluation's observations and recommendations. The findings and lessons of the Evaluation are valuable and have been incorporated in the implementation of the second half of the CSP, as detailed in the CSP MTR. The findings and lessons will also inform the Bank's engagement with the government, development partners, and other stakeholders as well as contribute to the design of future strategies and programs. Responses to each of the four key recommendations are provided in the Management Action Record table below. ■

Management Action Record	
Recommendation	**Management Response**
Recommendation 1: Maintain the Bank's strategic focus in Tanzania on infrastructure and private sector development	
Maintain the Bank's strategic focus in Tanzania on sustainable infrastructure and private sector development while adjusting the program for the remainder of the CSP to better align it with the resources available.	**Agreed** – Management agrees with this recommendation, which was also confirmed by the Government during consultations to inform the CSP-MTR conducted in February 2023. Management has implemented the following actions in June 2023: ▌Based on the feedback from the government and different stakeholders during the CSP MTR mission held in February 2023, the CSP (2021-2025) has maintained the two Priority Areas for the second half of implementation. ▌The 2023-2025 IOP has been reduced to 8 SOs compared to 14 in the first half of the CSP to align with the indicative resource envelop and ensure realism and delivery within the period 2023-2025. ▌COTZ requested and received more resources (Planning Cap) from the CRC amounting to UA 560 million to finance the 2023 IOP, compared to only UA 130 million received in 2022.
Recommendation 2: Harmonize the Bank's strategic positioning in the agriculture sector and the actual program for the sector	
Harmonize the Bank's strategic positioning in the agriculture sector and the actual program for the sector.	**Agreed** – The Bank is committed to supporting agro-industrial processing and value chain development to accelerate rural transformation and poverty reduction, consistent with the government's national development vision. To harmonize the Bank's strategic positioning in the agriculture sector and the actual program: ▌The Bank has prioritized the Special Agro-Industrial Processing Zones project for delivery in the second half of the CSP period (COTZ in collaboration with AHFR.2, Q4, 2024).

Management Action Record	
Recommendation	**Management Response**
Recommendation 3: Bolster private sector operations	
Bolster private sector operations during the second half of the CSP period, for example by conducting business development missions and building a strong pipeline of NSOs and PPPs in line with the Bank's strategic orientation and the opportunity offered by Tanzania's reclassification to blend status.	**Agreed** – Management will scale up its engagement with diverse stakeholders to expand the NSO IOP including through lines of credit, catalytic long-term debt and equity, guarantees, loan syndications, PPPs, and risk sharing instruments. In addition, the Bank will mobilise resources for strengthening SMEs' capacity. For example, in 2021, AFAWA provided a USD 175,000 technical assistance grant to CRDB Bank Plc in Tanzania to enable the growth of 4,000 Tanzanian women entrepreneurs. Further actions include: ▌The Bank will conduct a business development workshop for the private sector in Tanzania during Q4 of 2023 to create awareness of the Bank Group's support to the private sector and help build a strong NSO IOP. The awareness event will prioritize women-led SMEs in agro-industrial value chains to boost food security and inclusive growth. Subsequently, business development events will be organized regularly. (COTZ in collaboration with PIFD and PITD, Q4, 2023). ▌The Bank will explore additional resources for capacity building for SMEs in Tanzania through Bank Managed Trust Funds and special funds including AFAWA. (COTZ in collaboration with AFAWA/PIFD/PITD Q4,2025).
Recommendation 3: Address Risks to Sustainability	
a. Continuing to support the institutional strengthening of the utility companies	**Agreed** – Management agrees with these recommendations. Further actions include: ▌The Bank will use a planned institutional support program scheduled for 2025 and capacity development components in ongoing and planned projects to support institutional strengthening for TANROADs, TANESCO, and water utility companies (COTZ in collaboration with PICU/PESD Q4, 2025).
b. Working with the Government to ensure adequate resource allocation to road maintenance	▌The Bank will continue its dialogue with the Ministry of Finance and TANROADs to advocate for increased allocations to the Roads Fund with the aim of reducing the road maintenance financing gap from 60% of the total requirement to 50% by December 2025 (COTZ in collaboration with PICU Q4, 2025).
c. Application of cost-reflective tariffs in the water and energy sectors.	▌The Bank is already in dialogue with the Tanzania Energy and Water Utilities Regulatory Authority to discuss the implementation of findings from the Bank's study on cost-reflective electricity tariffs. This dialogue will be sustained. (COTZ in collaboration with PESR Q4, 2025).

Note: AFAWA = Affirmative Finance Action for Women in Africa, COTZ = Tanzania Country Office, PICU = Infrastructure and Urban Development Department, PIFD = Financial Sector Department, PITD = Industrial and Trade Department, AHFR = Agricultural Finance and Rural Development

Introduction

In the context of the 2022 approved work program of the Independent Development Evaluation (IDEV) function of the African Development Bank Group (AfDB or "the Bank"), IDEV undertook a mid-term evaluation (MTE) of the 2021–2025 country strategy paper (CSP) for Tanzania. This report presents the main findings, lessons, and recommendations of that evaluation.

Objective and Scope

The MTE covers the implementation of the Bank's 2021–2025 strategy and program for Tanzania until March 2023. The MTE's main purpose is to make recommendations to Bank Management regarding the design and implementation of the 2021–2025 strategy and program for the balance of the 2021–2025 period. The MTE draws on lessons learned from previous CSPs and projects approved under the current CSP. By understanding what worked well and what did not, the MTE aims to inform the preparation of the mid-term review of the CSP scheduled for mid–2023, while stimulating improvements to the strategy and program.

The implementation of the 2021–2025 CSP in Tanzania coincided with severe external shocks, including the COVID-19 pandemic and spillover effects from Russia's invasion of Ukraine.[6] Despite these challenges, Tanzania maintained positive economic growth rates and avoided falling into a public debt trap. Although the global situation may improve, it is possible that additional shocks may occur in the future.

This summary report is divided into five sections: Tanzania's development context; the Bank's strategy and programs in Tanzania between 2021 and 2023; the MTE's findings; program management; and conclusions, lessons, and recommendations.

Methodology

The MTE is formative in nature and is focused on learning. It compares the Bank's expected results with results actually achieved and draws lessons for the remainder of the period covered by the CSP. A reconstructed theory of change was developed based on the implied logic between the Bank's support for Tanzania and the outputs and outcomes expected (Annex 2). The MTE applies the international development evaluation criteria of relevance, coherence, effectiveness, efficiency, and sustainability to assess how the Bank's strategy and program performed.

To guide the MTE, the evaluation team formulated a set of questions (Table 1) and collected information from various sources: (i) a review of background documentation, such as policies, strategies, programs, projects, evaluations, and relevant studies; (ii) interviews and group discussions with Bank staff in the Tanzania Country Office (COTZ) and over 100 stakeholders in government institutions and private sector organizations; and (iii) site visits to a sample of five projects to collect and process the data necessary to assess the Bank's interventions. While the portfolio review covers all ongoing operations, the assessment of the Bank's performance focuses on activities conducted under the current CSP as well as 11 ongoing projects. Finally, to inform the MTE's findings and draw useful lessons, the evaluation team conducted an in-depth assessment of five completed or nearly completed projects approved under previous CSPs. A more detailed description of the methodological approach is provided in Annex 1.

Limitations and Mitigation Measures

Assessing the effectiveness and sustainability of the Bank's interventions was challenging because of the small number of projects completed over the evaluation period. To assess effectiveness, the evaluation team conducted a comprehensive assessment of the results of projects that were nearing completion and of a few projects approved before 2021 that had recently been completed. In terms of sustainability, the MTE mainly examined the soundness of the institutional and financial arrangements for ongoing projects, and the extent to which various implementation challenges may affect the sustainability of the Bank's interventions.

Despite a tight timeline, the MTE was completed in a timely manner. To manage the risk posed by a tight timeline, the methodological approach was adjusted, the evaluation process was closely monitored, and the full quality review process was limited to the summary report only. ■

Table 1: Evaluation Questions

Evaluation Criteria	Evaluation Questions
Relevance	**EQ1:** To what extent does the Bank's 2021–2025 strategy and program (including the pipeline) in Tanzania align with the Bank's corporate policies and strategies and is relevant to Tanzania's development needs, including challenges related to COVID-19 and the post-COVID-19 context?
Coherence	**EQ2:** To what extent are the Bank's country strategy and program as currently designed and implemented adequate for achieving operational objectives; to what extent do they complement other development interventions in Tanzania?
Effectiveness	**EQ3:** How effective has the Bank been in addressing development challenges and implementing its program for Tanzania, including operations that were approved most recently before 2021 and are relevant to the Bank's current strategic priorities?
Efficiency	**EQ4:** How well did the Bank organize itself to execute its program efficiently?
Sustainability	**EQ5:** To what extent do the Bank's strategy and programs in Tanzania address the issue of sustainability (including during COVID-19)?
Cross-Cutting Issues	**EQ6:** How well do the Bank's strategy and programs in Tanzania incorporate cross-cutting issues, including gender, youth, the environment (including climate change), and regional integration?
Knowledge and Management for Results	**EQ7:** What key lessons and recommendations can be drawn, especially to better inform the implementation of the remainder of the CSP?

Tanzania's Development Context

Economic, Governance, and Social Context

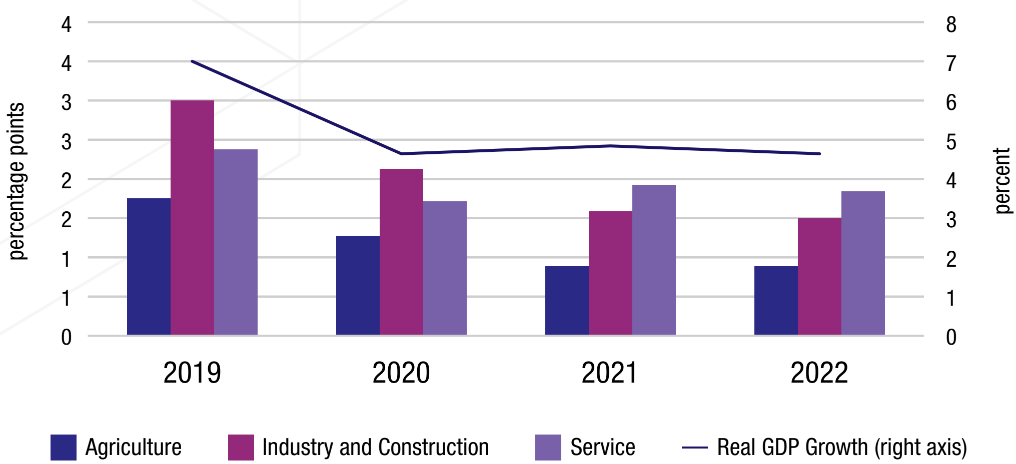
Growth and Medium-Term Prospects

Tanzania's real gross domestic product (GDP) growth increased to 4.9% in 2021 from 4.8% in 2020 as the country recovered from the effects of COVID-19. In 2022, growth slowed to an estimated 4.7% as Russia's invasion of Ukraine increased food and energy prices and a shortfall in rainfall affected electricity production and agriculture. Growth in 2022 was driven by the service sector (especially the recovery of tourism) and the agriculture sector on the supply side, and by investments and consumption on the demand side.

Tanzania's structural transformation is evident with the reallocation of labor from agriculture to services and industry. The integrated labor force survey of 2020/2021 showed that the share of employment in the agriculture sector had decreased to 61.1% from 66.2% in 2013/2014 even as the share of employment in industry increased to 8.0% from 6.7%, and the share of employment in services grew to 30.9% from 27.1%. Even so, structural challenges, including a large infrastructure deficit in transport and energy, and limited skills are holding back industrial competitiveness and the pace of structural transformation.

Real GDP is projected to keep growing, but domestic and external shocks may slow the pace of growth. Growth is projected to increase to 5.3% in 2023 and 6.3% in 2024, driven by the sustained recovery in tourism and increasing stability in supply and value chains. The downside risks to the growth outlook include climate change and the lingering effects of Russia's invasion of Ukraine, which could aggravate rises in global food and oil prices.

Figure 1: Real GDP Growth in Tanzania by Sector, 2019–2022



Source: Tanzania National Bureau of Statistics

Macroeconomic Management and Economic Governance

Tanzania's government has implemented a prudent fiscal policy that is keeping deficits within sustainable limits. Recurrent spending fell from 10.3% of GDP in 2019/2020 to 10.0% in 2020/2021 as the government reprioritized expenditures: this created fiscal space for development spending, which increased from 6.4% to 7.1% of GDP over the same period. However, the COVID-19's impact on economic activities caused domestic revenues to weaken from 15.2% of GDP during 2019/2020 to 13.7% in 2020/2021: this increased the fiscal deficit to 3.8% of GDP in 2020/2021 from 1.9% in 2019/2020.

Tanzania has managed public debt prudently and the country's access to concessional debt has ensured that its debt levels remain sustainable: the risk of distress is moderate.[7] Total public debt increased from 38.7% of GDP at the beginning of the CSP period (2019/2020) to 42% of GDP in 2021/2022. Public debt has remained below the 55% benchmark associated with heightened public debt vulnerabilities for medium performers, and is also below the East Africa Monetary Union's convergence criterion of 50%. However, according to the 2021 Debt Sustainability Analysis, Tanzania has limited space to absorb shocks.[8]

Social

Despite robust growth, poverty and inequality in Tanzania remain pervasive. According to the household budget survey, the incidence of poverty declined from 28.2% in 2012 to 26.2% in 2019 before the pandemic caused it to rise to 27% in 2021. A recent assessment by the United Nations Development Program showed poverty increasing from 26.1% in 2019 to 27.7% in 2020. Furthermore, the national panel survey of 2020–2021 showed inequality increasing as the Gini coefficient rose from 0.42 in 2014-2015 to 0.44 in 2020–2021. Spatial inequalities between regions dropped marginally over 2012–2018, with the western corridor of Kigoma, Tabora, and Singida lagging the other regions. Inclusive growth remains a major challenge at both the national and the regional level. Tanzania's latest integrated labor force survey, conducted in 2020/2021, showed total unemployment falling from 10.5% in 2014 to 9.3% in 2021 and youth unemployment increasing from 14.2% to 15.2% over the same period. Youth unemployment is a bigger concern in Zanzibar, where it increased from 30.9% in 2014 to 33.6% in 2021 than in the mainland, where it increased from 13.7% to 14.7%. Unemployment increased from 6.2% to 9.7% for university graduates, and from 3.9% to 10.5% for tertiary institution graduates: this confirms that a shortage of employment opportunities, not a skills deficit, is the main cause of youth unemployment. As for gender inequality, although Tanzania ranks among the best-performing countries in sub-Saharan Africa (13th of 36 nations), the 2021 Gender Inequality Index places Tanzania 146th of 170 countries, with a rating of 0.560.

Tanzania's Development Challenges

The Infrastructure Gap

Transport: As of April 2023, Tanzania's total road network was 182,525 km (181,190 km on the mainland and 1,335 km in Zanzibar), of which 15,301 km is paved and 167,224 km is unpaved. Tanzania's meter-gauge railway network consists of 3,682 km and the country has started constructing 1,200 km of standard gauge railway from Dar es Salaam to Mwanza in the north-east. Tanzania has 28 airports and three ports, in Dar es Salaam, Tanga, and Mtwara. According to the Africa Infrastructure Development Index 2020 report, Tanzania's transport infrastructure score of 3.05 (out of 100) in 2020 was lower than its regional peers, with Uganda at 6.46, Kenya at 10.48, and Rwanda at 11.59. The poor score is attributed to a significant infrastructure financing gap, explained by the country's vast geography and limited private sector participation in infrastructure development.

Water and Sanitation: Access to clean water and sanitation is a critical challenge in Tanzania. The national panel survey of 2020/2021, released in January 2023, shows that just 40% of households have access to improved sanitation. Only half the population has access to clean water during the rainy season and only two-thirds during the dry season. More than 9% of Tanzania's population of about 63.5 million people still practices open defecation, which poses serious health risks. Rural areas lag behind urban centers on all dimensions of water, sanitation, and hygiene services.

Electricity: Electricity access is a severe challenge in Tanzania, with only 37% of households in Tanzania connected to the grid and 63.5% still relying on firewood as the primary source of energy for cooking.[9]

Private Sector Competitiveness

The private sector in Tanzania is predominantly composed of micro, small, and medium enterprises (MSMEs), which employ over 95% of the country's workforce. Out of the 2.7 million MSMEs in Tanzania, microenterprises make up more than 60%. Larger companies comprise 12% of registered firms, contribute 38% of the country's GDP, and employ about 20% of the workforce. Despite their importance, MSMEs face significant challenges in accessing formal sources of finance: less than 20% have access to bank credit. The World Bank's 2019 Doing Business survey scored Tanzania lower than its neighbors, such as Kenya and Malawi, because of Tanzania's ineffective regulation of private sector activity, its insufficient reforms, and the continuing absence of industrial value chains, particularly in the agriculture sector.

The Skills Mismatch and Low-Productivity Jobs

Despite robust growth in emerging sectors such as information and communication technologies (ICTs) and real estate, most Tanzanians of working age are trapped in informal, low-skilled jobs in agriculture or services. A high rate of population growth (more than 3% since 2012) and a predominantly youthful population contribute to this trend.[10] Many young Tanzanians struggle to find employment, as evidenced by the increasing proportion of youth not engaged in education, employment, or training (the figures rose from 10.9% in 2012 to 14.4% in 2021). The World Bank's survey revealed that firms with higher shares of tertiary-educated workers were more productive, but secondary education and technical and vocational education and training (TVET) had no impact on productivity. This is largely due to the poor quality of secondary education in Tanzania.[11]

Tanzania's Development Strategies

Tanzania initiated its National Development Vision 2025 in 1999 to guide the country towards high-quality livelihoods, good governance, and a competitive economy by 2025. The government conducted an evaluation in 2010 and formulated its Long-Term Perspective Plan 2011– 2025, which includes three five-year development plans. The third plan, FYDP III, covers 2021/2022 to 2025/2026 and names good governance, economic growth, and social development as priority areas. Under the FYDP III, Tanzania will implement projects and programs that promote an inclusive and competitive economy, strengthen industrial production capabilities, and enhance human development.

Zanzibar has articulated its development policy framework, Vision 2050. Vision 2050 aims to lift Zanzibar to upper/middle-income status by 2050 by prioritizing inclusive and pro-poor policies in four priority areas: (i) the economic transformation of Zanzibar's productive capabilities through economic modernization and diversification; (ii) human capital and social services; (iii) infrastructure linkages and the provision of infrastructure within and across homes and settlements; and (iv) governance and resilience. ■

The Bank's Strategy and Program in Tanzania from 2021 to 2023

The Bank's Strategy in Tanzania

The Bank approved the CSP for 2021-2025 in December 2020 with the goal of supporting Tanzania's vision of becoming a competitive and inclusive economy. The CSP is structured around two priorities for Bank support:

Priority Area I: Sustainable Infrastructure for a Competitive Economy. To enhance the quality and sustainability of Tanzania's infrastructure, the Bank envisaged supporting the development of multimodal transport infrastructure, including roads, railways, water transport, and airports. Additionally, the Bank would invest in generating, transmitting, and distributing clean power through networks, and would develop water and sanitation infrastructure.

Priority Area II: Improved Private Sector Business Environment for Job Creation. The Bank's strategy is to collaborate with the government, development partners, and other stakeholders to enhance Tanzania's business environment, thereby expanding the country's potential to create jobs. The Bank would achieve this objective by supporting reforms aimed at enhancing economic and sector governance and improving the state's human and institutional capacity to promote and regulate the private sector. Additionally, the Bank would promote competitive industrial value chains, including in the agro-industry, to benefit the rural poor. The Bank would also improve the financial sector to increase the private sector's access to finance and would enhance skills by providing good, market-relevant technical-vocational education and training to make the private sector more productive.

The CSP states that the Bank would mainstream cross-cutting issues such as climate change and gender into all its lending and non-lending operations in both priority areas. The Bank would conduct continuous policy dialogue and analytical work to underpin and inform its support throughout the CSP period.

The Bank's Portfolio in Tanzania

As of March 2023, the Bank's active portfolio in Tanzania consisted of 24 projects (21 sovereign and three non-sovereign) totaling **UA 2 billion (USD 2.7 billion)**. Of these projects, 18 were national and six multinational. The portfolio counted seven projects approved under the CSP 2011-2015, 11 under the CSP 2016-2020, and six under the current CSP 2021-2025.

In the first half of the implementation of the 2021-2025 CSP, as of March 2023, the Bank had approved six projects worth UA 428.28 million. Of these, five were public projects and one was a non-sovereign operation (NSO). Some UA 296.69 million (69.2%) of the value of these projects had been allocated to Priority Area I, and UA 131.59 million (30.8%) to Priority Area II. Most resources were allocated to the sectors of energy (28.3%), water (21.0%), and transport (18.8%). Financing came from various Bank Group windows including African Development Fund (ADF) loans (45.0%), African Development Bank (ADB) sovereign loans (28.3%), and ADB private sector loans (11.0%).

The Bank's active portfolio includes seven transport projects (56.0%), four power projects (18.2%), and

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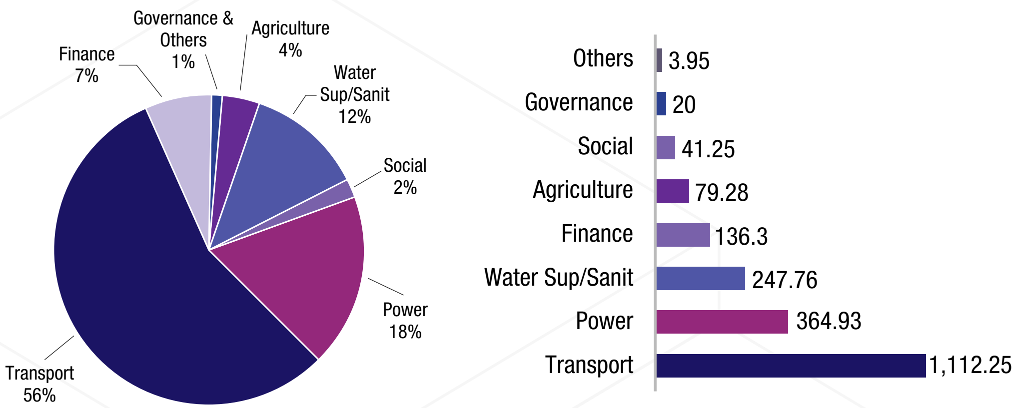
Figure 2: Sector Distribution of the Active Portfolio (percentages and values in UA millions)



Source: SAP Data

two water and sanitation projects (12.4%). The remaining sectors represented in the portfolio are finance (6.8%), agriculture (4.0%), the social sector (1.6%), and governance and other sectors (1.0%) (Figure 2). As for financing modalities, 97.4% of the active portfolio is composed of loans (UA 1,952 million) and 2.6% of grants (UA 53.2 million). Grants were mainly allocated to the agriculture and social sectors, where they account for 84% and 22%, respectively. Loans fund the remainder.

Most of the active portfolio, measured by volume, was financed by the ADB window (UA 1,074 million, or 53.6% of the portfolio), followed by the ADF (34.5%), the Africa Growing Together Fund (7.6%), and other sources (1.6%). In terms of financing instruments, investment projects dominate the active portfolio, where they account for more than UA 1,849 million (92%). Investment projects are followed by a line of credit (4.4%), subordinated debt (2.3%), institutional support (1.0%), and studies (0.3%).

Resource Mobilization and Allocation

ADF-15's performance-based allocations[12] assigned UA 262.74 million to Tanzania. The country mobilized the funds for four projects: COVID-19 Crisis Rapid Response Support, the Tanzania-Mnivata-Newala-Masasi Road Upgrading Project, the Dodoma Resilient and Sustainable Water Development Program-Phase 1, and the Agricultural Inputs Support Project. As per the 2014 Amended Credit Policy (ADF/BD/WP/2014/31/Rev.2), Tanzania has had access to the Bank's window for sovereign operations (SOs) since 2015. Following a creditworthiness assessment conducted by the Bank in March 2022, Tanzania was reclassified as a blend country effective 1 October 2022 (ADF/BD/IF/2022/198). Headroom[13] for 2022/2023 was then set at UA 160 million for SOs and UA 190 million for NSOs.[14] An analysis of ADB approvals over 2021-2023 shows a low average rate of absorption (17.8% of projected resources). Since 2021, the Bank has approved only one NSO, a line of credit to the Cooperative and Rural Development Bank (CRDB) amounting to UA 42.7 million (50.8% of resources projected for NSOs). The approval in December 2022 of the Kakono Hydropower Project, a SO, caused the total commitment to reach UA 121.1 million (14.5% of resources projected for SOs). Stakeholder interviews highlighted the importance that the Bank's country office provides adequate advisory support to help Tanzania maximize the benefits of its reclassification by accessing more resources from less concessional windows during the second half of the CSP period and beyond.

The Bank has mobilized additional funding for Tanzania through co-financing and other partnerships. A good example of co-financing secured under the current CSP is the sum of UA 110 million-UA 83.78 million from the French Agency for Development, and UA 23.66 million from the European Union-that augmented the Bank's contribution of UA 121.1 million for the Kakono Hydropower Project.

Findings

Relevance

This section assesses how well the Bank's 2021–2025 strategy and program in Tanzania align with the Bank's corporate policies and strategies and how relevant they are to Tanzania's development needs, including challenges related to COVID-19 and the post-pandemic context.

Alignment of the Bank's Assistance with Tanzania's development strategies

The Bank's strategy and programs were found to align with Tanzania's development plans as specified in the country's National Development Vision 2025 and successive five-year development plans, including the current FYDP III. The Bank's program aims to address the large infrastructure deficit identified in the Bank's Country Diagnostic Note 2021 by developing sustainable infrastructure and improving the private sector's business environment. This aligns with the FYDP III's priorities to foster inclusive growth, increase investment, and facilitate job creation. It is also relevant to priority areas of Zanzibar's Vision 2050 (economic transformation, infrastructure, and governance) and the growth and poverty reduction strategy.

The strategic objectives and projects of the CSP's focus areas align fully with Tanzania's sector development strategies. In the **energy sector**, for instance, the Bank's support aligns with Tanzania's objective of increasing access to modern energy and making the power supply more available, affordable, and reliable, as outlined in the Power System Master Plan (PSMP 2016, updated in 2020). The Bank's CSP aims to increase access to clean energy and strengthen regional power pools. According to the CSP 2021–2025, Tanzania's financing gap is estimated at USD 7.1 billion for generating power, USD 4.2 billion for upgrading transmission networks, and USD 790 million for upgrading distribution lines. All ongoing projects except one were approved under the previous CSP and support the objectives of reinforcing the national and regional grid system, stabilizing the distribution system, and making energy more available and affordable. Finally, the Kakono Hydropower Project, approved in 2022, aims to increase on-grid energy production from least-cost renewables: this is in line with the Bank's strategic objective of promoting affordable and clean energy.

The Bank's strategy and programs in the **transport sector** align with Tanzania's FYDP III, which identified a series of interventions in roads, ports, airports, and railways to make transport more competitive and promote an inclusive economy. Targeting the strategic outcome of better connectivity to deepen regional integration and increase access to markets, the Bank mainly focuses on regional infrastructure and inter-urban and rural transport. Its multimodal approach targets roads, railways, and airports. Transport accounts for the largest share of the Bank's current ongoing portfolio, namely, the Dar es Salaam Rapid Bus Transit Project, the Dodoma Outer Ring-Road Project, and the Msalato International Airport. So far, only one transport project (the Mnivata-Newala Masasi Road) has been approved under the CSP 2021–2025. All of the Bank's transport operations are relevant to Tanzania's transport sector goals and improve regional connectivity.

By focusing on the construction and rehabilitation of water supply infrastructure and sanitation facilities, the Bank's support in **water supply and sanitation** is helping Tanzania meet demands for more clean drinking water and sanitation. The Arusha Sustainable Urban Water Supply Project (ASUWSP), which was approved under the previous CSP, and the Dodoma Resilient and Sustainable Water Development and

Sanitation Program, which was approved under the current CSP, are both in line with the national Urban Water Supply and Sanitation Program, which is part of the Water Sector Development Program. In addition, the Kikonge feasibility study adopts a holistic approach, with the studies considering all the parameters necessary to ensure quality at entry and a well-structured operation.

In the **governance sector**, the Bank supports reforms in public finance management and the business-enabling environment. This is consistent with the FYDP III, which features good governance and business environment reforms as two drivers for boosting investment in Tanzania. The Bank's support was also driven by the need to support the government in responding to the wide range of challenges in the public financial management system, as identified in public expenditure and financial accountability (PEFA) assessments.

The MTE also found a few shortcomings. In the **agriculture sector,** for instance, there seems to be a disconnect between the strategic orientations laid out in the CSP and the program actually being implemented. The Agricultural Inputs Support Project was not initially planned in the current CSP: it was approved as an emergency response operation. However, the focus on agro-industrialization is not as strong in the ongoing program as it is in the country strategy, and no interventions foreseen in the CSP (the initial indicative operational program (IOP)) have yet been approved. Moreover, the portfolio only partially corresponds to the CSP's strategic orientation, in that it has not yet supported agro-industrial zones or responded well to the Government of Tanzania's expectations for irrigation infrastructure. This situation could limit the achievement of some CSP outcomes, including an increase in agricultural productivity and the reduction of rural poverty.

Alignment of the CSP with the Bank's Priorities

The priority areas of the CSP 2021–2025 align fully with the Bank's Ten-Year Strategy and operational priorities, including the High 5s.[15] In the **governance sector**, for instance, the focus on public finance management and the business-enabling environment as well as the programmatic approach corresponds to the Bank's Strategy for Economic Governance in Africa (SEGA 2021–2025), which seeks to ensure the sound management of public resources and foster structural transformation by enabling a competitive private sector. In the energy sector, the Bank's projects seek to improve access to a reliable, affordable, and sustainable electricity supply, as indicated in the New Deal on Energy in Africa.

The Quality of Design of the Bank's Strategy and Programs in Tanzania

Given the country context and the Bank's comparative advantages, the CSP 2021–2025 was found to be well designed, with clear strategic objectives and performance indicators. The CSP details the lending and non-lending programs for 2021–2023 and includes a monitoring and evaluation plan to track implementation. The CSP took into account the pandemic's potential economic impact on Tanzania but did not explain constraints, mitigation measures, or the pandemic's potential impact on the country strategy and program implementation. This is because when the country team was drafting the CSP in 2020, the team felt it was too early to anticipate how the pandemic would evolve.

Under the Bank's Credit Policy, the Bank reclassified Tanzania from an ADF-only country to blend country status effective 1 October 2022. The CSP's annex on country financing parameters suggested that the Bank may finance up to 90% of project costs from the ADB's sovereign window; on a case-by-case basis, it may finance up to 100%, given the country's limited fiscal space. This is relevant to Tanzania's transition framework.

In retrospect, the operations planned in the CSP were found to exceed the resources available for the country program. The unavailability of

Box 1: Lessons from the Bank's Experience with the Country Graduation Process

Graduation refers to the process by which an ADF-only country transitions to blend status or to ADB-only status, or the process by which a blend country transitions to ADB-only status. The Transition Framework for Countries Changing Credit Status was approved in 2011 and amended in 2021. While the framework allows the Bank to define appropriate transition programs and support countries with a mix of instruments, the experience with the graduation process is mixed. A preliminary analysis of post-graduation countries' experiences provides insights into factors that have influenced economic patterns after reclassification: (i) the country's governance with regard to macroeconomic, fiscal, and debt management, and (ii) the country's economic structure and vulnerability to commodity prices. In the event, most blend countries that were expected to graduate to Category C (ADB country status) are still in the blend category, mostly because of debt vulnerabilities and other macroeconomic imbalances. The graduation process has been beset with uncertainty related to commodity shocks, natural disasters, and debt crises in candidate countries, which has sometimes resulted in a rapid reversal of a previously positive trajectory. This is a risk to sustainable graduation once a regional member country crosses a threshold.

Source: AfDB Transition Framework for Countries Changing Credit Status and its Addendum (ADF/BD/WP/2011/14/Rev.2 and ADF/BD/WP/2021/2), SNSP, 2011 and 2021

an updated debt sustainability analysis from the International Monetary Fund in 2021 delayed the Bank's efforts to reclassify Tanzania and delayed the country's full access to the ADB window under the 2014 Revised Credit Policy. As a consequence, some projects earmarked for financing from the ADB's SO envelope were rescheduled or dropped. Preliminary lessons from the Bank's experience with the reclassification process suggest that debt management is critical for a country's graduation to be sustained (Box 1).

While the quality at entry of projects in the ongoing portfolio was generally assessed as good, several shortcomings were found. In the **infrastructure sector**, the issues relate to the review of the quality of the engineering design, the lack of a multisectoral perspective, and the absence of baseline data. For instance, in the Dodoma Outer Ring-Road Project, the design review was skipped and the Lot 1 project had to excavate and remove unexpected problematic black cotton soil on a 6 km long strip, 1 m deep and 40 m wide, and fill it with expensive rock and granular materials. Additionally, many projects involve different sectors (power, water and sanitation, transport, etc.) but do not always factor this into implementation arrangements: this leads to protracted disputes between the implementing agency and utility owners and adversely affects project implementation. The stalled relocation of a 220 kV line on the Dodoma Road Project is an extreme example.

In the **agriculture sector**, according to the completion report for the Tanzania Agricultural Development Bank (TADB) project, prior actions and disbursement triggers were not sequenced in a manner that took the capacity of the implementing institution into account (the institution was at the formative stage). In short, the disbursement schedule and the release of funds should have taken place in more than two tranches and in terms of a pipeline of projects to be financed. This would have spurred the timely completion of the items agreed in the loan agreement between the AfDB and the Government of Tanzanian, including internal capacity-building activities (the implementation of the loan management and core banking system, for instance), and the development of strategic partnerships with local financial institutions to roll out funding. In the **governance sector**, while the Bank's assistance remains relevant, the design of the Institutional Support Project for Good Governance III (ISPGG III) was complex, with many activities spread among approximately 13 beneficiary institutions across the country. The evaluation team confirmed this issue in interviews with beneficiaries, who complained of high transaction costs and implementation delays-the result of small institutional projects covering a large number of beneficiaries.

Coherence

This section assesses the compatibility of the Bank's operations with other corporate or sectoral interventions, as well as the synergy between the Bank's interventions and the interventions of other development partners in Tanzania.

In general, the interventions implemented in Tanzania as part of the Bank's country program were found to demonstrate positive synergy, even though the design of some interventions exhibited limited internal synergy across sectors. The combination of investments and institutional support was found to be instrumental in addressing the physical infrastructure deficit and supporting key reforms. Notable examples of positive synergy across projects include the interconnection of hydropower plants and the national grid, which is expected to improve the supply, reliability, and affordability of power and create an enabling environment for private sector development and economic growth in Eastern Africa. However, in a few cases (see the section on relevance), infrastructure projects did not always factor a cross-sectoral perspective into implementation arrangements.

To improve the coherence of the Bank's support, the CSP 2021–2025 takes several lessons into account, such as the mobilization of co-financing with other development partners, sustained engagement in areas such as policy dialogue, the revamping of delivery capacity, and a more integrated and coordinated approach.

The evaluation found clear evidence of the Bank's engagement in policy dialogue and development partner coordination. The Bank participated in relevant thematic and sector working groups, such as the Transport Sector Group, the East Africa Community Donor Coordination Working Group, and the Tanzania Public Finance Management Reform Group. Evidence of joint strategic planning exists, and the Bank is a member of the Development Partner Group, through which development partners engage with the government and other stakeholders to strengthen development cooperation.

There is also clear evidence of the joint implementation of support activities, such as in water and sanitation, where the Bank and the Government of Tanzania coordinate their efforts through the Water and Sanitation Development Partner Working Group to implement the Water Sector Development Program (2017-2025), which is currently in the third phase of its five-year cycle. In agriculture, the Bank's support for the TADB is complemented by the French Cooperation Agency's additional line of credit. In the energy sector, extensive consultations were conducted among major development partners during the preparation and appraisal of the North-West Grid 400kV Transmission Line Project to share experiences, harmonize procedures, and coordinate interventions. Complementarity is also highly visible in the transport sector, such as in the phased Dar es Salaam Bus Rapid Transit Project, which is being financed by three development partners. The Bank is financing Phase 2 and is considering financing Phase 6, using detailed engineering design studies financed by the World Bank and the Japan International Cooperation Agency's Study on Transport Master Plan for Dar es Salaam City: this is good evidence of joint strategic planning, evaluations, and reviews among development partners who share a goal.

Effectiveness

This section assesses the extent to which the Bank's interventions in Tanzania are achieving their expected development results, including the outcome-level results for ongoing projects.

Relatively few Bank operations planned for 2021–2025 were approved as of March 2023. Under CSP Priority Area I, which covers transport, energy, and water and sanitation, 10 projects were slated for approval by 2023. Of these, only three were realized with support from the Bank, and two were funded by other development partners. Five were rescheduled (two are scheduled to take place under the next CSP). The situation is similarly unfavorable for CSP Priority Area II, where only two of the eight operations planned in the IOP were approved (one

Table 2: Commitment of Resources Planned in the Indicative Operational Program (UA millions)

	ADB NSO	ADB SO	ADF	Total
Planned	84	835	395	1,314
Committed as of March 2023	42.7	121.1	259.9	423.7
Commitment rate	50.8%	14.5%	65.8%	32.2%

Sources: SAP Data and the Tanzania Country Office

emergency operation under the African Emergency Food Production Facility was approved as well). Two more projects are expected to be approved in 2023, and the rest were dropped or rescheduled. On average, just 32.2% of planned resources have been committed (Table 2).[16]

Although little of the IOP has materialized so far, most ongoing operations were found to have a reasonably high probability of achieving their expected outputs and outcomes at completion. However, the likelihood of achieving all planned CSP outcomes by 2025 was found to be low because of the gap between the initial IOP and the program actually being implemented. Of the 18 operations in the IOP, two were financed by other development partners, four were delayed, three were rescheduled for the next CSP period, and four were dropped (Annex 4). As a result, these projects' outputs and outcomes either will be delayed or are unlikely to be achieved by the end of the CSP period.

As of March 2023, no projects in the governance sector had been approved under the current CSP. However, the Bank was found to have provided significant support for good governance and the business-enabling environment, notably through previously approved operations that are ongoing or were completed over the evaluation period. These include ISPGG III, approved in 2016, and the ongoing Institutional Support Project for Domestic Resources Mobilization and Natural Resources Governance, approved in 2017. Through these two operations, the Bank supported policy reforms and built the capacity of public finance management institutions such as the Tanzania Revenue Authority, the Tanzania Petroleum Development Corporation, control and oversight functions (Auditor General, Internal Audit Agency, Public Procurement Regulatory Authority, Prevention and Combating of Corruption Bureau, etc.), and the Business Environment Unit.

Policy reforms implemented by Bank projects include the following: i) establishing the Petroleum Upstream Regulatory Agency, (ii) equipping the Tanzania Revenue Authority to operationalize the Revenue Gateway System, (iii) operationalizing online business registration, licensing, and the Electronic Payment Gateway; and (v) introducing e-procurement infrastructure in 568 government agencies. Various governance institutions were also provided with trainings and equipment support to improve their systems. For instance, a local area network (LAN) was installed in the premises of the Prevention and Combating of Corruption Bureau in 58 districts, and 505 staff members (the initial target was 300 staff) were trained in forensics, investigation techniques, asset tracing, and money laundering. Despite these efforts, interviewees indicated that more needed to be done to equip all 100 districts and connect all national and regional district offices. Similarly, 75 staff members of the Ethics Secretariat were trained on the Public Assets and Liability Verification Framework, developed with the support of the Bank. However, because of COVID-19, several trainings abroad had to be put on hold.

Overall, ISPGG III was found to have had a positive impact in terms of trainings and working tools. Major legislative reforms carried out under ISPGG III improved the efficiency of public finance audit tasks. The Bank's support was found to be effective: it resulted in a significant improvement of unqualified audit opinions to 96%, exceeding the target of 95%. PEFA scores for external audits improved to B by the end of the project from D at the beginning. A representative from the Ministry of Finance of Zanzibar also observed success in implementing the PEFA assessments to improve accountability and the control and scrutiny of public finances. However, targets to reduce expenditure arrears from 5% to 2% were not achieved.[17] Moreover, the large number of institutional beneficiaries directly covered by the project was found to have engendered coordination challenges, especially in the context of COVID-19 and the move of Tanzania's administrative capital from Dar es Salaam to Dodoma.

Regarding the private sector, the Bank's support for the business-enabling environment was found to have achieved good results. The Bank-supported blueprint for regulatory reform to improve the business environment, along with other reforms, was found to be very effective in promoting private sector development by eliminating about 70 nuisance fees and charges and reducing the time required to register a business. The rolling out of the blueprint was widely accepted by the private sector. Other reforms included better mobile services, including mobile money and payment systems, and better measures to regulate emerging sectors such as ICT and oil and gas. The Business Environment Unit introduced reforms to relax permits in the food and cosmetics business. In Zanzibar, the establishment of a one-stop center at the Zanzibar Investment Promotion Authority has been reported as a success. But the target of 32% of GDP for private gross fixed capital formation by 2022 was not reached. With Bank support, the Tanzanian Public Private Partnership Unit completed the public-private partnership (PPP) framework and helped draft feasibility studies for larger PPP projects. Moreover, through the CRDB Project, the Bank provided a line of credit worth USD 60 million for on-lending to woman-owned small and medium-sized enterprises.

However, if the Bank is to scale up its support for Tanzania's private sector as planned, more efforts will be required. Of the four NSOs foreseen in the current CSP's IOP, three were dropped, mainly due to changes in clients' interests. The only operation approved is the line of credit to CRDB for about UA 42.7 million (approx. 50% of the NSO envelope). The Bank's previous line of credit to CRDB was approved in 2016 under the previous CSP for UA 74.21 million for on-lending for infrastructure and SME projects. According to the project's Expanded Supervision Report Evaluation Note, the project's results were mixed. Because of changes in the national government and market conditions, the infrastructure component was not implemented as planned in the project appraisal document. Moreover, only 16% of the facility was allocated to SMEs against a target of 25%. In the context of the country's reclassification and with the perspective of additional ADB NSO resources in the coming years, there are good opportunities for the Bank to build a strong NSO pipeline beyond lines of credit.

In the agriculture sector, none of the interventions planned in the 2021–2025 IOP have been approved so far. The CSP aimed to support the emergence of a business-enabling environment for agro-industrial development[18] in specified agro-ecological zones. The Bank's support was expected to develop value chains, add value to production, and bolster productivity, leading to the development of rural economies and the creation of higher quality, sustainable livelihoods. However, the active portfolio is mainly addressing crises that occurred in recent years, such as aflatoxin contamination and drought in Tanzania and the spillover effects of Russia's invasion of Ukraine (among other things, by approving the unplanned Tanzania Agricultural Inputs Support Project in July 2022 within the framework of the African Emergency Food Production Facility). At the same time, the portfolio was found to be responsive to the immediate demands of the Government of Tanzania, and the Bank and the Government of Tanzania coordinated their efforts to implement it. The recently completed TADB support project, for example, achieved most of its key outputs. Yields of paddy rice increased by 122%, which was well above the expected results (50%).[19] However, due to a severe drought, yields of maize increased by only 6%, well below the 30% target. In addition, TADB used the AfDB's loan to provide funding to 198 subprojects. Financial interventions helped the share of TADB's credit that goes to the agricultural sector grow from 7.3% in July 2017 to

9.1% in the year ending February 2020. Loans were deployed across the country, covering most regions. But the TADB's portfolio is skewed towards large clients and cooperatives of individual farmers, which absorbed 44% and 45%, respectively, of the capital disbursed. Nonetheless, the project completion report calculates that through cooperatives, about 1,234,120 smallholder farmers benefited from the Bank's support for TADB. With respect to the CSP's targets, the two special agriculture processing zones in agro-business and the 45 agricultural/fish markets planned in the CSP have not yet been established or rehabilitated; neither has 1,000 km of rural roads been rehabilitated. As for outcomes, no progress towards reducing post-harvest losses for maize and rice has been made.

The Bank's support for the water supply and sanitation sector was found to be effective, although the only project approved under the current CSP is in the initial stage. Phase I of the Dodoma Resilient and Sustainable Water Development and Sanitation Program was found to be moving forward satisfactorily and although the Kikonge Multipurpose Project feasibility study took time, it is now complete. The latter project was found to have delivered a detailed feasibility study that addressed costing and included terms of reference for environmental and social impact assessment, on the basis of which many donors have expressed interest in financing the dam. However, the effectiveness of the Bank's water sector portfolio largely reflects that of the ASUWSP. By the end of November 2022, the ASUWSP was 90.6% implemented and the average disbursement rate was 81.7%. Outstanding contracts comprise the ongoing drilling of five boreholes at the Tengeru–Makumira–Usa River well field and the construction of a new water system for blending water and reducing fluoride in certain water sources. Access to safe drinking water is considered to have reached almost 100% in Arusha and access to sanitation has reached its target of 30% of the region's population. The project results assessment showed the average hours of water services having grown from 16 to 19 hours per day, with most beneficiaries receiving water in their private plots and only a few families resorting to water kiosks. According to the project completion reports, 14,603 local people were employed during the works, of whom 20% were women, and 20 young graduates underwent on-the-job training. Through better water, sanitation, and hygiene services, the project has had positive health benefits, including a reduction in water-borne diseases. This has generated savings in health expenditures.

The transport projects in the Bank's active portfolio in Tanzania were found to be making solid progress despite implementation delays. Only one project, the Mnivata–Newala–Masasi Road Upgrading Project, has been approved under the current CSP so far, and it is in the starting phase, with a 0.26% disbursement rate. Regarding the other ongoing projects, the Transport Sector Support Program (TSSP) and Phase 2 of the Dar es Salaam Bus Rapid Transit Project are well advanced, with disbursement rates up to 65% and 71%, respectively. According to the last implementation progress and results reports, the TSSP contributed to the upgrade of 431 km of road and the rehabilitation of 31 km, as targeted. About 350 people (above the target of 300) were trained and four feasibility studies for road and air transport projects were finalized, making new projects ready to be included in the pipeline. As for Phase 2 of the Dar es Salaam Bus Rapid Transit Project, some outputs have already been delivered, including 19 km of the 20.3 km of roads targeted, two of the five terminals projected, and six feeder stations and one depot as planned in the project design. The degree to which these projects have improved mobility and air quality can only be assessed upon completion, but the project site visit and interviews with several stakeholders indicate that mobility is improving steadily.

The successful completion of other transport projects in the portfolio, including the upgrade of the Mnivata–Newala–Masasi Road (160 km), the construction of the Dodoma Outer Ring-Road (110.2 km), and the regional projects, are expected to improve accessibility. Additionally, the Msalato International Airport Project will support the government's current priority to relocate administrative functions from

Dar es Salaam to Dodoma, meeting the anticipated increase in needs for connectivity and access in the medium-to-long term.

The Bank's support for the energy sector was found to have made a positive contribution to Tanzania's power generation and distribution capacities. As of March 2023, the Bank's active portfolio for Tanzania's energy sector consisted of five projects, one of which was approved under the current CSP but has yet to become effective. The other four projects were approved under the two previous CSPs. No energy sector projects in the active portfolio were canceled or postponed, but the portfolio includes one aged project, the Rusumo Falls Hydropower Transmission Line Project–Tanzania (the transmission component). This project was approved in 2013 but only 53% had disbursed as of March 2023, as a result of poor performance on the part of contractors. The project aims to increase the capacity of the electricity supply and the electrification rate from about 26% in 2022 to 30% by the end of the project.

As for the Kenya–Tanzania Power Interconnection Project, approved in 2015, the June 2022 implementation progress and results report indicated that the rural electrification sub-component was about 92% complete and the population with grid access living in the neighborhood of the transmission line had increased to 64,000 persons (50% of the final target). About 93% of the 400 kV transmission line had been constructed (414 km) and 1,660 rated substations were complete out of 2,000 planned. The cross-border power trade can only be assessed fully once the upstream and downstream infrastructure has been commissioned and is operational.

Two other energy sector projects are in the early implementation phase. First, the North-West Grid (NWG), i.e., the 400 kV Nyakanazi–Kigoma transmission line, will traverse approximately 280 km and supply reliable, affordable electricity by decommissioning expensive diesel power plants. Second, the Malagarasi Hydropower Project aims to improve power supply in western Tanzania. The proposed 49.5 MW grid-connected hydropower plant with an average annual energy production of 181 GWh will mainly serve local demand in Kigoma and surrounding regions, including households and social service amenities such as education, health, and water supply facilities, as well as SMEs. The successful implementation of the Malagarasi Project, coupled with the NWG transmission line, is expected to improve supply in Kigoma Region from 69% to at least 94%. The Tanzania Electric Supply Company Limited (TANESCO)'s diesel-based supply is presently very erratic and loads are often curtailed during peak demand. The project approved most recently in the energy portfolio is the Kakono Hydropower Project, which was approved in December 2022.

Efficiency

This section assesses how well the Bank is delivering or is likely to deliver its interventions in Tanzania in an economical and timely manner.

Efficiency was not found to have been demonstrated across all sectors. Larger infrastructure interventions are especially prone to delays. Some delays can be attributed to COVID-19 pandemic restrictions and trade disruptions, but delays also appear to be the result of inadequate project readiness and in a few cases, tardiness in releasing counterpart funding. Implementation timeliness was found to be a recurrent issue in all sectors, but the Bank has not compromised its operating standards.

Startup delays in the power sector translated into an average of nine months to effectiveness and 16 months to the first disbursement. In the transport sector (according to SAP project data), the delays were six months to effectiveness and 13 months to first disbursement, both of which exceed the limits of three months and six months specified in AfDB Presidential Directive 02/2015. The Msalato International Airport Project took 28 months after approval to process its first disbursement, due to significant delays in procurement caused by the COVID-19 lockdown. The NWG transmission line experienced seven months to effectiveness and 20 months to the first disbursement. Similarly, in the water sector, the Kikonge multipurpose dam hydropower and irrigation feasibility study faced challenges at start-up, taking more than one year to enter into force and almost 32 months for the first disbursement. This caused the project to be extended twice and completion to be delayed by more than three years, mainly due to delays in securing a tax exemption and COVID-19 issues. ASUWSP also faced delays in obtaining water sources and in issuing Value Added Tax (VAT) exemptions. It was further delayed by the poor performance of the contractor in charge of building the main office.

In the governance sector, ISPGG III was completed in June 2022 following three extensions resulting in a three-year delay (Table 3). The political and institutional move of Tanzania's administrative capital from Dar es Salaam to Dodoma caused delays in procuring key equipment for beneficiary institutions. The outbreak of the COVID-19 pandemic also retarded the implementation of various project activities, including training and stakeholder engagement. Delays in releasing government counterpart funds were another contributing factor. Overall, the review identified five projects that had been extended, with an average delay of 2.2 years.

Public sector operations approved under the current CSP performed better than previously approved projects, with an average of six months to first disbursement for all projects except for the Mnivata–Newala–Masasi Road Upgrading Project, which took nine months. In terms of NSOs, CRDB's line of credit component took 10.7 months before entering into force, while the subordinated debt component took less than four months.

Cost efficiency is an important factor in project success. In the agriculture sector, the absence of infrastructure design during the formulation phase of the Tanzania Initiative for Preventing Aflatoxin Contamination Project delayed implementation considerably. The escalation of prices for building materials-the result of the global economic recession-also had a negative effect on cost efficiency. However, stakeholders indicated that the resources allocated to the project are likely to yield the expected results at an acceptable cost, and significant additional resources have not been requested. Regarding TADB, progress reports have highlighted concerns about the availability of government counterpart funding.[20] Given the current single borrowers' limit of 25% of core capital, the fact that annual budget allocations have not materialized hinders TADB from financing larger projects and acting as an apex institution of agriculture lending.

In the water sector, the poor performance of the first contractor in charge of building the main office for ASUWSP resulted in the initial contract being terminated. This was one of the main causes of cost inefficiency. To date, only the performance guarantee has been recovered: the larger advance payment guarantee (over a billion Tanzania shillings) is still in dispute.

Table 3: Projects Extended as of March 2023

Sector	Approval date	Planned duration (years)	Actual duration (years)	Delay (years)	Status	Number of extensions
Kikonge Multipurpose Dam Hydropower and Irrigation	27/06/2016	1.4	4.4	3	Completed 30/06/2022	2
Institutional Support Project for Good Governance III	03/02/2016	2.9	5.9	3	Completed 30/06/2022	3
Tanzania–Lake Victoria Maritime Communications and Transport	24/10/2016	4.5	6.5	2	Ongoing	2

Sources: SAP and implementation progress and results reports

Project assessments showed that the implementation of transport sector programs has, in most cases, suffered delays due to longer-than-expected procurement times,[21] delayed payments to contractors, the slow mobilization of contractors, deficiencies in detailed engineering designs that lead to design changes and extra costs, supply chain delays (they are due to the residual effects of COVID-19 and Russia's invasion of Ukraine, which affected the shipment of imported equipment and materials), the delayed relocation of services, and adverse climatic conditions. In the case of the Dodoma Outer Ring Road Lot 1, extra costs were incurred because the contractor had to excavate and remove 1–2 meter-deep unexpected black cotton soil over 6 km over the full formation width of 40m and replace it with rock and filling materials.

The Transport Sector Support Program was completed with significant savings. More than USD 86.07 million, representing almost 35% of the project cost, remained unspent after project completion, even though all the main planned activities were implemented. This situation was due to the contractor's very competitive bid and pricing. This seems to be common for new contractors, especially for projects funded by development partners and not by national budgets, as development partners' processes for payment are more efficient. However, such a large saving might become a point of concern: more accurate costing would allow resources to be allocated efficiently across projects from the beginning. In addition to savings on completed projects, the evaluation found a high volume of uncommitted resources for ongoing projects in the transport sector. For instance, UA 56 million (46% of the total) of the cost of the Dodoma Outer Ring-Road Project and UA 53 million (44% of the total) of the cost of the Tanzania component of the Bagamoyo–Tanga-Horohoro/Lunga Lunga-Malindi Road Project have not been committed, even though all the key contracts have been signed. As per the Presidential Directive 02/2015, these two projects are flagged because of low commitment. They are negatively affecting the quality of the portfolio.

The quality of the portfolio was found to be weakened by slow disbursements and procurement delays. Eight of 24 active projects are aging with low disbursement rates. The average age of the active portfolio was 3.43 years, and some projects-the Regional Rusumo Hydropower Project, the East African Centers of Excellence, and the Kenya-Tanzania Interconnection Project-are more than eight years old. Moreover, the disbursement rate stood at 49% for the entire active portfolio and a meager 16.2% for projects approved under the CSP 2021–2025, most of which are still in their early stages.

Table 4: Projects Flagged as of March 2023

Project name	CSP period of approval	Sector	Project category	Explanation
Construction of Msalato International Airport Project	2016/2020	Transport	National	First disbursement delays
Dodoma City Outer Ring-road (110.2 km) Construction Project	2016/2020	Transport	National	Slow procurement
Bagamoyo–Tanga-Horohoro/Lunga Lunga-Malindi Road	2016/2020	Transport	Multinational	Slow procurement
Rusumo Falls Hydropower Transmission Line Project–Tanzania (Transmission Component)	2011/2015	Power	Multinational	Slow disbursement
Dodoma Resilient and Sustainable Water Development and Sanitation Project	2021/2025	Water supply/ Sanitation	National	Slow procurement
Tanzania–Lake Victoria Maritime Communications and Transport Project	2016/2020	Communication	Multinational	Slow procurement

Source: Implementation Progress and Results Reports

The Bank's portfolio flashlight report for the first quarter of 2023 showed that the implementation of infrastructure projects, especially multinational projects, is a cause for concern. Of 24 active projects, five were under close watch[22] and six were flagged, primarily for slow disbursement and procurement delays (Table 4). The Africa Franchise Accelerator Project and the Tanzania–Lake Victoria Maritime Communications and Transport Project were also found to be problematic. Notably, amongst the projects flagged, three were in the transport sector and one each was in the water, power, and communication sectors. It is worth noting that almost all the multinational projects suffered from implementation issues, with five of six multinational projects under close watch or flagged.

Sustainability

This section examines the likelihood of the Bank's interventions' results continuing after the operations have been completed. In doing so, it assesses risks to technical sustainability, financial viability, and capacity building.

The Bank's strategies and programs were found to consistently address sustainability issues by investing in capacity building, training, policy dialogue, and advocacy. The Bank's active portfolio includes capacity-building activities in all sectors, to increase the likelihood of sustainability. For instance, in the governance sector, the Bank supports capacity-building activities to strengthen the institutions involved in implementing reforms. In the water and sanitation sector, the Bank promotes government policy that encourages full ownership and participation by beneficiaries in the provision of water and sanitation services. The decentralization of the water sector has helped sustainability by delegating responsibilities more clearly and bringing the service provider closer to beneficiaries. In the transport sector, the capacity-building components of road upgrading projects have strengthened implementing agencies' knowledge of asset management and skills to meet the demands associated with good quality roads.

The technical sustainability of the Bank's projects was found to be ensured by the quality of the design and the engineering works. In most infrastructure operations, the quality of feasibility studies was found to be satisfactory. This is particularly the case for most projects in the energy, water and sanitation, and transport sectors with the exception of the Dodoma Outer Ring-Road Project, which skipped the design review. Widely recognized, proven technology was used when constructing new infrastructure.

Despite attention to the quality of design and to engineering works, inadequate tariffs can threaten projects' sustainability, particularly in the energy and water supply and sanitation sectors. Within the ASUWSP framework, a study was undertaken to propose tariffs to recover costs and ensure the system's sustainability, considering the social nature of water services and the importance of affordability, especially for the poor. A similar study is foreseen as part of the Dodoma Resilient and Sustainable Water Development and Sanitation Program. However, in Arusha, the tariffs calculated by the project's study have not been applied: the current tariffs are those fixed for 2019–2020 based on the regulatory authority's estimations. In the energy sector, the tariffs in Tanzania are not cost-reflective: they only cover about 85% of the costs of service and limit TANESCO's ability to finance new infrastructure. TANESCO's financial position is also a concern, as it can compromise the sustainability of all investments in the sector. A recent IMF country report on selected issues state-owned enterprises in Tanzania found that TANESCO lacks financial independence and faces liquidity risks. Progress towards a cost-reflective tariff and financial sustainability-i.e., a combination of revenue-generating and cost-reducing measures and a reduction in the level of subsidies-is recommended. Efforts by the Government of Tanzania and development partners to improve TANESCO's financial position are underway.

Table 5: Maintenance Needs vs Funds Disbursed (TZS billions)

Year	Maintenance Needs	Funds Disbursed	Financing Gap (%)
2016/17	1,553.4	168.2	73
2017/18	1,561.0	718.4	54
2018/19	1,586.0	700.0	55
2019/20	1,838.0	680.0	57
2020/21	1,967.0	694.0	62
Total	6,952.0	2,814.5	62

Source: Tanzania Road Fund Board Annual Report, 2020–2021

In addition, financial sustainability was found to be a major risk for the Bank's transport portfolio in Tanzania. Although Tanzania has experienced rapid growth in improved roads and other modern transport infrastructure, the long-term road maintenance work financed by the Road Fund carries a major sustainability risk in that limited sources of funds have increased the financing gap for road maintenance. The Road Fund, established to collect and provide dedicated funds for road maintenance (mainly from the fuel levy), developed a strategic plan in 2017 to address the challenges and the critical issue of road maintenance, but it reports that funding continues to be an issue. The Road Fund Board Annual Report indicated a financing gap of about 62% of the total annual costs required to maintain the road network in 2020/2021 (Table 5).

Mobilizing additional funds to fill the financing gap for road maintenance is therefore crucial to ensure the sustainability of the Bank's investments. The increase by 19% of road maintenance funds disbursed in 2021/2022 compared to the previous year is a step in the right direction. Effective axle-load-control programs are also critical for sustainability, and the Bank has supported measures in this area, including the construction of new weighbridges along selected roads.

Cross-Cutting Issues

This section reviews how well the Bank's interventions have mainstreamed inclusiveness and environmental issues.

The Bank's Country Diagnostic Note 2021 assessed the cross-cutting issues such as gender, youth, and inclusiveness. Regarding gender, a situational analysis was conducted and entry points and interventions to address gender inequality were proposed. Projects have considered these interventions in their preparation and design. However, this was not systematically built into projects' monitoring and evaluation systems, making it difficult to measure progress on the Bank's support for cross-cutting issues.

Environment and Climate Change: The Bank ensures that all infrastructure interventions it supports have a comprehensive environmental and social impact assessment (ESIA), environmental and social management plan (ESMP), and resettlement action plan (RAP) in place before physical work begins. Ongoing Bank interventions also integrate environmental sustainability-related concepts that contribute to climate change resilience. For example, clear indicators for monitoring and evaluating environmental and climate change resilience figure in the TSSP's results chain.

Given the significant environmental and climate change challenges facing Tanzania, however, the consideration of the transition to green growth in project preparation and design was found to be inadequate.

Gender: According to project employment figures, the representation of women in the construction workforce on roads, airports, and power projects is less than 10%. Despite strong recommendations to engage and promote women, contractors struggle to increase their numbers. However, the Bank's NSOs in Tanzania granted two lines of credit to CRDB and have significant potential to create jobs and mainstream gender equality measures. The first line of credit was fully disbursed in 2016 and the second was approved in 2021. CRDB's hiring policy ensures equal employment opportunities for men and women, and the output and impact causality matrix of the second line of credit forecasts expanding lending to SMEs and women-owned enterprises, creating more jobs for both men and women.

The designs of transport sector projects incorporate factors that address gender issues, and their outcomes are expected to improve the economic and social welfare of women in project zones. Although commendable activities and a budgeted gender action plan encourage significant participation by women in all activities, the gender assessment was found to be rather general, and the interventions' potential to tackle root causes of gender inequality, such as women's participation in decision-making, remains limited.

Jobs for Youth: A review of the ongoing CSP portfolio, including a few recently closed projects from the previous CSP period, reveals that only one project is solely focused on youth employment: the Zanzibar Skills Development for Youth Employability in the Blue Economy Project. However, many other projects have high potential for creating jobs for youth, such as the line of credit to the First National Bank of Tanzania Limited and CRDB, the loan to TADB, and various infrastructure projects. The Zanzibar project is still in the start-up phase, so no lessons can yet be learned from its implementation, but the project's design shows good consideration of objectives and action plans for fighting youth underemployment as defined in the Bank's Strategy for Jobs for Youth in Africa. Proposed activities include developing entrepreneurship and business infrastructure and supporting skills hubs in common facility processing centers. ■

The Bank's Performance

Knowledge Management and Policy Dialogue

The Bank's 2021–2025 CSP includes five pieces of economic and sector work and has so far delivered two. A third is in progress and two have been rescheduled. The completed studies-on cost-reflective electricity tariffs, and the costs and benefits of regional integration-are highly relevant to the Bank's current portfolio, which includes multiple energy projects and regional operations. As set out above, the issue of tariffs and infrastructure maintenance is critical for the sustainability of the Bank's operations and is an area of policy dialogue targeted in the CSP. The study on cost-reflective tariffs was timely, and its recommendations are expected to contribute to the dialogue between the Bank and the country on this issue.

The Bank is actively leading policy dialogue in several thematic sectors where it is most active, including transport, energy, and the monitoring of poverty. During the second half of the CSP implementation period, the Bank aims to build on its record and enhance dialogue within those sectors. Among other things, it will enhance dialogue on the need to allocate more resources to maintain infrastructure.

The Bank is seen as a preferred partner in Tanzania, where it plays an active role in policy dialogue. The country has a well-established coordination mechanism that structures more than 30 donors in sector working groups. The Bank is active in all key sectors and is strongly present in the infrastructure working groups, including transport, water and sanitation, agriculture, and energy. Nonetheless, there is room for improvement in formalizing policy dialogue and establishing mechanisms to record decisions.

Program Management

Although it identified most challenges and constraints and outlined mitigation measures, portfolio management was found to have been inconsistent in Tanzania. The Country Office for Tanzania (COTZ) lacks sufficient sector specialists among its staff. This has meant that the quality of monitoring and supervision is mixed. The evaluation found that COTZ has been proactive in the governance and power sectors, conducting at least one supervision mission per year for each project. The adoption of a risk-based supervision approach has been effective in supervising flagged projects regularly. However, in the transport sector, flagged projects were not regularly supervised due to the departure of the transport expert from the Country Office.

NSOs were found to **demonstrate shortcomings: this is an area where supervision could** be improved. The Country Office could provide better responses and support for borrowers and could do more to develop NSO business. Monitoring efforts have been inconsistent: the failure to systematically collect baseline data when designing all projects makes it challenging to measure **outcomes.**

Country portfolio performance reviews and fiduciary clinics with project teams and government officials are conducted regularly to examine implementation constraints and formulate corrective measures. These efforts have addressed issues related to securing tax exemptions and the timely submission of audit reports. However, contract management and the use of early procurement and contracting procedures were found to fall short. These issues are critical, since Tanzania's recent reclassification to blend country status is likely to increase the country's access to ADB resources. The Bank could also pay more attention to developing NSOs. The absence of NSO expertise in the Country Office might limit the Bank's ability in that regard. ■

Conclusions, Lessons, and Recommendations

Conclusions

The Bank's strategy and programs were found to be in line with Tanzania's development plans, including the ongoing FYDP III and Zanzibar's Development Vision. Better alignment and more government ownership of the Bank's interventions have contributed to the Bank's selectivity and focus on infrastructure. In addition, the CSP 2021–2025's priority areas fully align with the Bank's Ten-Year Strategy and operational priorities, including the High 5s.

The CSP 2021–2025 was found to be well-designed, with clear strategic objectives and performance indicators. However, the pandemic's impact on the CSP and program implementation was not explained in the CSP, nor were mitigation measures outlined. In retrospect, the pandemic had only a limited effect on the preparation and quality of the CSP, but it affected implementation adversely. At the project level, while the quality at entry of the projects was generally found to be good, some shortcomings were noted, including the absence of a design review for some infrastructure projects, the lack of a multisectoral perspective, and the absence of baseline data for transport projects. Additionally, in the agriculture sector, there seems to be a disconnect between the CSP's strategic orientations and the program actually implemented.

The change in Tanzania's debt situation from low to moderate risk due to COVID-19 and the delay in the country's reclassification to blend status under the AfDB's Credit Policy have modified initial resource projections. As a result, the Bank's strategic objectives in the country exceeded the resources actually available and many projects were rescheduled or dropped. Only five of 18 planned operations were approved as of March 2023, plus one unplanned emergency operation.

In general, the interventions implemented in Tanzania as part of the Bank's country program were found to demonstrate positive synergy, even though the design of some interventions displayed limited internal synergy across sectors. The combination of investments and institutional support was found to be instrumental in addressing the deficit in physical infrastructure, and interventions to develop capacity were crucial in supporting key reforms. The evaluation found clear evidence of Bank engagement in policy dialogue and development partner coordination, with participation in such relevant thematic and sector working groups as the Transport Sector Group, the East Africa Community Donor Coordination Working Group, and the Poverty Monitoring Group. There is evidence of joint strategic planning, and the Bank is a member of the Development Partner Group, through which development partners engage with the government and other stakeholders to strengthen development cooperation. There is also clear evidence of the joint implementation of support activities, most notably in the water and sanitation sector, where the Bank and the Government of Tanzania coordinate their efforts through the Water and Sanitation Development Partner Working Group.

Despite limited materialization of the IOP thus far, most ongoing operations were found to have a high probability of achieving their outputs and outcomes at completion. However, the likelihood of achieving all the CSP's planned outcomes was found to be low, because of the gap between the initial IOP and the program actually implemented. In the agriculture sector, operations foreseen in the IOP have yet to be approved.

Efficiency was not found across all sectors, and larger infrastructure interventions were especially prone to delays. While some delays can be attributed to pandemic restrictions and trade disruptions, others are the result of poor project readiness and in a few cases, delays in releasing government counterpart funding. Implementation timeliness was found to be a recurrent issue in all sectors, but the Bank has not compromised its operating standards. The quality of the portfolio is a matter of concern, as many active projects are ageing, and disbursement rates are low. Of 24 active projects, five were under close watch and six were flagged, primarily because of slow disbursement and procurement delays.

The Bank's strategies and programs were found to consistently address sustainability issues by investing in capacity building, training, policy dialogue, and advocacy. Despite this, inadequate tariffs threaten the sustainability of the Bank's projects in the water supply and energy sectors. TANESCO's financial position is also a concern, as it could compromise the sustainability of all investments in the sector. Moreover, financial sustainability was found to be a major risk for the Bank's transport portfolio in Tanzania. The Road Fund, established to collect and provide dedicated funds for road maintenance (mainly from the fuel levy), reports that it has an unprecedented financing gap equivalent to about 62% of the total maintenance requirements of the road network.

The Bank's 2021 Country Diagnostic Note assessed cross-cutting issues such as gender, youth, and inclusiveness, but these were not systematically built into the projects' monitoring and evaluation systems.

The Bank's involvement in coordinating work with other development partners and engaging in policy dialogue with the government was found to be effective and to contribute to task-sharing among development partners. The Bank is currently leading policy dialogue in several thematic sectors where it is most active, including transport, energy, and the monitoring of poverty. In the second half of the CSP's implementation period, the Bank can build on that record to strengthen dialogue within those sectors, including dialogue on the need to allocate more resources to maintain infrastructure and apply cost-reflective tariffs.

Overall, although the program's needs exceed the resources available, the Bank's strategy fully aligns with Tanzania's development objectives, including Tanzania's focus on infrastructure, governance, and private sector development. Despite some implementation challenges, the Bank's ongoing projects were on track and were highly likely to achieve their development results. Risks to sustainability should nonetheless be addressed.

Lessons

Three key lessons can be drawn from the MTE of Tanzania's CSP:

Lesson 1: Planning infrastructure projects in an integrated and inter-sectoral manner can contribute to timely implementation by ensuring prior agreement between sector agencies. This is especially important for the relocation of utilities.

Lesson 2: Focusing governance and business-enabling support in areas that are tightly concentrated on quick-win solutions and complement other Bank operations, can be instrumental in rendering governance reforms more effective and sustainable.

Lesson 3: Flexibility in the Bank's response can help mitigate the internal and external implementation challenges that arise in a crisis.

Recommendations

Based on the MTE's findings, IDEV recommends the following actions:

Recommendation 1: Maintain the Bank's strategic focus in Tanzania on sustainable infrastructure and private sector development while adjusting the program for the remainder of the CSP to better align it with the resources available.

Recommendation 2: Harmonize the Bank's strategic positioning in the agriculture sector and the actual program for the sector.

Recommendation 3: Bolster private sector operations during the second half of the CSP period, for example by conducting business development missions and building a strong pipeline of NSOs and PPPs in line with the Bank's strategic orientation and the opportunity offered by Tanzania's reclassification to blend country status.

Recommendation 4: Address risks to sustainability, among others by continuing to support the institutional strengthening of utility companies and working with the government to ensure adequate resource allocation to road maintenance and the application of cost-reflective tariffs in the water and energy sectors. ■

Annexes

Annex 1: Methodological Approach

Overall Approach

The evaluation conducted on the Bank's support for Tanzania is formative and based on a theory-based approach. A reconstructed theory of change was developed to clarify the links between the different levels of results of the country program, as well as the underlying assumptions and risks. The evaluation used a pyramidal approach, providing specific inputs at three levels of analysis: i) strategies (CSPs); ii) overall portfolio and key sectors (governance, power, transport, water/sanitation, and agriculture); and iii) projects. Quantitative and qualitative methods were used to define a series of evaluation questions, tools, and methods.

The evaluation addressed the Bank's support for Tanzania, covering individual projects, specific sectors, operational modalities, as well as policy dialogue at different levels. While the portfolio review covers all the ongoing operations, the assessment of the Bank's performance focuses on the activities under the current CSP and includes 11 ongoing projects. The focus was on identifying the Bank's contribution to mid-term specific results and overall changes, as well as the role of the various modalities and instruments used by the Bank in supporting a diversified number of areas. Moreover, the evaluation team conducted an in-depth assessment of six completed or nearly completed projects approved under the previous CSPs to inform the findings and draw useful lessons. The evaluation aimed to provide insights into lessons learned from the Bank's support.

The methodology applied for this evaluation is based on the international evaluation criteria and the IDEV evaluation procedures. The evaluation used a mixed methods approach based on contribution analysis to demonstrate whether, how, and why the Bank's activities have made a difference. The evaluation provided a comprehensive contribution story, linking the contributions of specific Bank interventions to an overarching picture.

The evaluation provided a summary assessment of the various evaluation questions and underlying evaluation criteria, as shown in the below table. This enables the identification of gaps and challenges, highlights important achievements and thus elaborates relevant actions.

Table A1.1: Evaluation Matrix

Evaluation Questions	Judgement Criteria
EQ1 **To what extent does the Bank's 2021–2025 strategy and program (including the pipeline) in Tanzania align with the Bank's corporate policies and strategies and is relevant to Tanzania's development needs including challenges related to COVID-19 and the post-COVID-19 context?** **(Relevance)**	JC 1.1: The Bank's strategy and programs remain relevant to Tanzania's development needs including challenges related to COVID-19 and post-COVID context. JC 1.2: The Bank's strategy and programs in Tanzania align with the Bank's corporate policies and strategies. JC 1.3: The Bank's strategy and programs have considered the reclassification of the country from Category A (limited access to the non-concessional window) to Category B (Blend country). JC 1.4 : Evidence of Bank strategic positioning and comparative advantage.

EQ2 **To what extent are the Bank's country strategy and program as currently designed and implemented adequate for achieving operational objectives, to what extent do they complement other development interventions in Tanzania?** **(Coherence)**	JC 2.1: Quality of program design and implementation is adequate to achieve the Bank's strategic and operational objectives in Tanzania. JC 2.2: The Bank's strategy and programs as currently designed and implemented are coherent with other development partners interventions. JC 2.3: Interventions design and implementation under the Bank's country strategy in Tanzania ensure synergy with each other. JC 2.4: Evidence of effective Bank engagement/leadership in policy dialogue.
EQ3 **How effective has the Bank been in addressing the development challenges and implementing its program for Tanzania including operations that were approved before 2021 and are relevant to the Bank's current strategic priorities?** **(Effectiveness)**	JC 3.1: The Bank's support has addressed structural bottlenecks and prepared the country to manage challenges related to middle-income country status. JC 3.2: Bank implementation of the indicative operational program in Tanzania has been effective. JC 3.3: Bank support has achieved intended results (outputs, outcomes) at mid-term whilst unintended results are noted.
EQ4 **How well did the Bank organize itself to execute its program efficiently?** **(Efficiency)**	JC 4.1: The Bank's interventions are implemented in a timely manner and in compliance with the Bank's operational standards. JC 4.2: Challenges and constraints faced by the Bank in implementing its portfolio in Tanzania have been identified and mitigation measures implemented (including COVID-19). JC 4.3: Evidence of proactive management by the Bank in implementation of the portfolio improvement.
EQ5 **To what extent do the Bank's strategy and programs in Tanzania address the issue of sustainability (including during COVID-19)?** **(Sustainability)**	JC 5.1: The Bank's strategy and programs as designed and implemented adequately incorporate the issue of sustainability. JC 5.2: The Bank's support has contributed to the country's capacity development and generated national ownership. JC 5.3: Likelihood of the benefits of the Bank's interventions persisting beyond the end of the Bank's support.
EQ6 **How well do the Bank's strategy and programs in Tanzania incorporate cross-cutting issues including gender, youth, the environment (including climate change) and regional integration?** **(Cross-Cutting Issues)**	JC 6.1: The Bank's interventions are addressing inclusiveness in terms of gender, youth, and regional disparities. JC 6.2: The Bank's interventions are environmentally sustainable, contribute to climate change resilience and support the transition to green growth.
EQ7 **What are the key lessons and recommendations that can be drawn especially to better inform the implementation of the remainder of the CSP?** **(Knowledge and Management for Results)**	JC 7.1: Internal and external factors that have enabled or hindered the implementation of the Bank's strategy and programs in Tanzania. JC 7.2: Key lessons that can be drawn from the ongoing or recently completed operations to improve the design and implementation of the Bank's program for the remainder of the CSP. JC 7.3: Required strategic adjustments and key actions that the Bank should take to improve the performance of its program for the remainder of the CSP.

The evaluation enabled the identification of gaps and challenges, highlighted important achievements, and elaborated relevant actions. Thematic cross-cutting issues (gender, environment and climate change, regional integration) were incorporated throughout the evaluation process to investigate programmatic efforts to foster gender inclusion, environmental sustainability, climate change, and regional integration objectives.

The evaluation was conducted based on ethical principles, including independence, impartiality, absence of conflict of interest, confidentiality, integrity, transparency, competence, accuracy, and reliability. The evaluation team members were chosen for their ability to exercise independent, impartial, and unbiased judgment, communicate clearly with stakeholders, and maintain personal integrity while respecting stakeholders' right to provide information in confidence, including vulnerable groups in conflict or post-conflict environments. The evaluation outputs were complete, accurate, and reliable, with all findings and conclusions explicitly justified and substantiated, and recommendations based on findings and not on biases.

Mixed-Methods Approach and Data Gaps

The Bank's interventions spanned a wide range of sectors. The MTE approach considers the Bank's evolving cooperation strategy over time and its implementation through various channels. The evaluation was conducted in three main phases: inception, data collection, and final reporting. During the inception phase and the initial stage of the data collection phase, potential data gaps were identified. Subsequently, the team collected data in the field, which was then triangulated and analyzed to prepare sectoral, technical, and summary reports. The final evaluation questions were addressed using a combination of quantitative and qualitative data collection tools, depending on data availability and the specific issues being investigated.

Figure A1.1: Evaluation Phase and Process

Phases	Inception Phase	Data Collection Phase	Final Phase
Tasks	- Structuring of the evaluation and definition of the methodology and approach - Scoping mission (remote) - Mapping of stakeholders - Theory of Change - Collection of quantitative data - Analysis of documents - EQs & indicators - Context analysis - Selection of projects - Initial interviews - Initial portfolio review	- Collection of further documents - In-depth desk review: Quality at Entry Assessment (QAE) Portfolio and implementation review; Project Results Assessment (PRA) - In-country data collection jointly with dialogue mission planned by Tanzania Country Office (interviews, focus groups, etc.)	- Analysis of quantitative and qualitative data - Triangulation of information - Teamwork - Drafting the sector reviews - Draft Technical Report - Finalization of the Report - Summary Report
Meetings	- Online kick-off meeting - Online presentation of the Inception Report	- In-country debriefing (remote & face-to-face inputs)	- Final online presentation of results and recommendations
Deliverables	Draft Inception Report Final Inception Report		Background reports (sector and technical) Summary Report

Table A1.2: Sample of Project Case Studies

Sector	Active projects (as of Oct 2022)	Recently closed or near completion (as of Oct 2022)	CSP pipeline by 2025
WATSAN	Arusha Sustainable WATSAN Delivery Project P-TZ-E00-008 - 2016		
TRANSPORT	Dar es Salaam Bus Rapid Transit Infrastructure Project P-TZ-DB0-021 - 2015		Dar es Salaam Bus Rapid Transit Infrastructure Project Phase IV 2023
	OR		
	TSSP P-TZ-D00-002 - 2015		TSSP Phase III 2023
AGRICULTURE		Tanzania Agricultural Development Bank P-TZ-AA0-025 - 2016	
ENERGY	Kenya/Tanzania Interconnector P-ZI-FA0-052 - 2015		
FINANCE	CRDB Bank – Limited Line of Credit & PLC P-TZ-HAB-009; P-TZ-HAB-014 - 2016		
MULTI-SECTOR		Good Governance & PSD Support Program P-TZ-KA0-005; P-TZ-KA0-007	

National / **Multinational**

Sample Strategy

The MTE focuses on the activities under the current CSP to provide actual recommendations to improve their implementation in the remaining years but also 11 ongoing projects facing implementation challenges were included in the review. Moreover, the evaluation team conducted an in-depth assessment of completed or nearly completed projects approved under the previous CSP in order to draw useful lessons. Sectoral distribution was considered in selecting project case studies. A total of six case study projects, one from each sector, were defined as follows:

Site visits were carried out during the field phase and covered the Kenya/Tanzania Interconnector Project; Arusha Sustainable Urban Water and Sanitation Delivery Project; Dar es Salaam Bus Rapid Transit Infrastructure Project; Dodoma City Outer Ring-Road (110.2 km) Construction Project; and Msalato International Airport Construction Project. The Team was not able to conduct the site visit for the Tanzania Agricultural Development Bank Project.

Annex 2 : Reconstructed Theory of Change of Bank's CSP 2021–2025 in Tanzania

Context

Tanzania recently underwent a smooth transition of power when President Samia Suluhu Hassan was sworn into office in March 2021 following the death of former President Dr. John Pombe Magufuli. The country continues to be politically stable with improved governance as noted by Tanzania's rank in the Ibrahim Index of African Governance (IIAG) improving from a score of 52.6 (out of 100) in 2018 to 53.4 in 2021. In the first half of the CSP 2020-2023 period, the performance of Tanzania's economy was weakened by impacts of the COVID-19 pandemic and effects of the Ukraine war to stand at an average of 5.2% between 2020-2023 (GDP growth for 2023 are projections), compared to 6.3% in the previous three years - 2018-2020. The economic outlook for 2024 and 2025 is positive but lingering effects of the two shocks are projected to weaken growth to 6.1% in 2024 and 6.5% in 2025 compared to pre-COVID growth rate of 6.9% in 2019. Despite these shocks, Tanzania's economy has registered strong but not inclusive or pro-poor growth because it was driven by sectors that employ only about 20% of Tanzanian workers. The Country Resilience and Fragility Assessment (CRFA) shows relatively high poverty-related pressure with low capacity in terms of inclusive access to public services.

Inputs

LENDING & NON-LENDING PROGRAMMES

Priority Area 1: Sustainable infrastructure for competitive economy
Sectors:
- *Transport*
- *Energy*
- *WATSAN*

Priority Area 2: Improved private sector business environment for job creation
Sectors:
- Human capital & development
- Private sector & competitiveness
- Government & public sector efficiency

Direct Outputs

Transport
- Transport infrastructure including regional roads, intercity highways and SGR
- OSBPs and multi-national roads in trade corridors

Energy
- Rehabilitated power transmission lines
- Power generation systems from renewable sources

WATSAN
- Clean water and sanitation facilities/ systems

Human capital & development
- TVET infrastructure

Private sector & competitiveness
- More lines of credit for financial institutions for on-lendiing to SMEs & more credit sharing institutions

Government & public sector efficiency
- PFM systems
- Skills on review and expenditure management

Intermediate Outcomes

Transport
- Improved quality/sustainability of transport infrastructure
- Better connectivity for regional integration
- Reduced travel times
- Reduced VOCs

Energy
- Enhanced tranmission efficiency
- Increased share of renewables in national energy mix
- Increased access to clean energy
- Strenghened regional power pool

WATSAN
- Improved access to clean drinking water and sanitation

Human capital & development
- Increased enrolment in tertiary education
- Reduced mis-match of skills demanded by private sector

Private sector & competitiveness
- Improved competitiveness and diversification
- Reduced costs of doing business
- Improved agro-industrial value chains

Government & public sector efficiency
- Increased enforcement of procedures/ financial regulations
- Reduced expenditure arrears
- Increased PEFA score
- Reduced fiduciary risk

Outcomes

- Deeper regional integration with increased ARII
- Increased private sector contribution to the economy
- Improved income from trade
- Industrial growth
- Increased socio-economic resilience
- Transition to green growth
- Creation of high quality sustainable livelihoods
- Development of rural economies
- Improved labour And agricultural productivity

Development Impacts

Transformation of Tanzania into a more diversified, competitive and inclusive economy

Reduced poverty and gender inequality

Risks

- Macroeconomic: Tanzania's economy is exposed to external shocks including the recent COVID-19 pandemic and fluctuations in commodity prices, affecting inflation rates and macroeconomic stability
- Public institutional capacity: Risk related to variable institutional capacity in government, especially across ministries, which increases if the Bank works with new ministries unfamiliar with Bank operations.
- Environment and social safeguards: The nature of Bank Group's anticipated interventions (large, relatively complex), have potential for project-induced resettlement, environmental and social safeguards risk

Annex 3 : List of Bank's Active Operations (Grants and Loans) in Tanzania as of March 2023

Table A3.3: List of Bank's Active Operations (Grants and Loans) in Tanzania as of March 2023

N°	Project Code	Project Name	Multinational /National	Status of Project	Project Classification	Instrument	NSO /SO	CSP	Approval Date	Netloan (UA Million)	Source of Funding
					AGRICULTURE						
1	P-TZ-A00-008	TANZANIA INITIATIVE FOR PREVENTING AFLATOXIN CONTAMINATION	National	OnGo	Investment	Grant	Public	2016/20	20/06/2018	9,20	African Development Fund
		TANZANIA INITIATIVE FOR PREVENTING AFLATOXIN CONTAMINATION	National	OnGo	Investment	Loan	Public	2016/20	20/06/2018	15,68	GAFSP Trust Fund
2	P-TZ-A00-014	TANZANIA SUPPORTING INPUTS VALUE CHAIN (FERTILIZERS AND SEEDS)	National	OnGo	Investment	Loan	Public	2021/25	15/07/2022	52,59	African Development Fund
		TANZANIA SUPPORTING INPUTS VALUE CHAIN (FERTILIZERS AND SEEDS)	National	OnGo	Investment	Grant	Public	2021/25	15/07/2022	1,82	African Development Fund
					TRANSPORT						
3	P-TZ-D00-009	TANZANIA MNIVATA - NEWALA - MASASI (160 KM) ROAD UPGRADING PROJECT	National	OnGo	Investment	Loan	Public	2021/25	22/09/2021	80,53	African Development Fund
4	P-TZ-DA0-003	CONSTRUCTION OF MSALATO INTERNATIONAL AIRPORT PROJECT	National	OnGo	Investment	Loan	Public	2016/20	18/12/2019	155,68	African Development Bank
		CONSTRUCTION OF MSALATO INTERNATIONAL AIRPORT PROJECT	National	OnGo	Investment	Loan	Public	2016/20	18/12/2019	16,79	African Development Fund
		CONSTRUCTION OF MSALATO INTERNATIONAL AIRPORT PROJECT	National	OnGo	Investment	Loan	Public	2016/20	18/12/2019	39,19	Africa Growing Together Fund
5	P-TZ-DB0-025	DODOMA CITY OUTER RING-ROAD (110.2KM) CONSTRUCTION PROJECT	National	OnGo	Investment	Loan	Public	2016/20	30/04/2019	108,16	African Development Bank
		DODOMA CITY OUTER RING-ROAD (110.2KM) CONSTRUCTION PROJECT	National	OnGo	Investment	Loan	Public	2016/20	30/04/2019	32,92	Africa Growing Together Fund

N°	Project Code	Project Name	Multinational /National	Status of Project	Project Classification	Instrument	NSO /SO	CSP	Approval Date	Netloan (UA Million)	Source of Funding
6	P-Z1-DB0-204	MULTINATIONAL (TANZANIA) TZ/BDI:RUMONGE–GITAZA/ KIBONDO-KASUL ROAD	Multinational	OnGo	Investment	Loan	Public	2016/20	22/11/2018	102,05	African Development Bank
		MULTINATIONAL (TANZANIA) TZ/BDI:RUMONGE–GITAZA/ KIBONDO-KASUL ROAD	Multinational	OnGo	Investment	Loan	Public	2016/20	22/11/2018	90,00	African Development Fund
7	P-Z1-DB0-235	(TANZANIA)BAGAMOYO–TANGA-HOROHORO/LUNGA LUNGA-MALINDI ROAD	Multinational	OnGo	Investment	Loan	Public	2016/20	12/12/2019	122,29	African Development Fund
8	P-TZ-DB0-021	DAR ES SALAAM BUS RAPID TRANSIT INFRASTRUCTURE PROJECT	National	OnGo	Investment	Loan	Public	2011/15	30/09/2015	34,60	Africa Growing Together Fund
		DAR ES SALAAM BUS RAPID TRANSIT INFRASTRUCTURE PROJECT	National	OnGo	Investment	Loan	Public	2011/15	30/09/2015	76,12	African Development Bank
9	P-TZ-D00-002	TRANSPORT SECTOR SUPPORT PROGRAM	National	OnGo	Investment	Loan	Public	2011/15	26/11/2015	54,00	African Development Fund
		TRANSPORT SECTOR SUPPORT PROGRAM	National	OnGo	Investment	Loan	Public	2011/15	26/11/2015	211,70	African Development Bank
					WATER AND SANITATION						
10	P-TZ-E00-011	DODOMA RESILIENT AND SUSTAINABLE WATER DEVELOPMENT AND SANITATION	National	OnGo	Investment	Loan	Public	2021/25	16/03/2022	90,00	African Development Fund
11	P-TZ-E00-008	ARUSHA SUSTAINABLE WATER AND SANITATION DELIVERY PROJECT	National	OnGo	Investment	Loan	Public	2011/15	16/09/2015	112,23	African Development Bank
	P-TZ-E00-008	ARUSHA SUSTAINABLE WATER AND SANITATION DELIVERY PROJECT	National	OnGo	Investment	Loan	Public	2011/15	16/09/2015	18,00	African Development Fund
	P-TZ-E00-008	ARUSHA SUSTAINABLE WATER AND SANITATION DELIVERY PROJECT	National	OnGo	Investment	Loan	Public	2011/15	16/09/2015	32,82	Africa Growing Together Fund

N°	Project Code	Project Name	Multinational /National	Status of Project	Project Classification	Instrument	NSO /SO	CSP	Approval Date	Netloan (UA Million)	Source of Funding
POWER											
12	P-TZ-FAB-003	TANZANIA - KAKONO HYDROPOWER PROJECT	National	APVD	Investment	Loan	Public	2021/25	16/12/2022	121.33	African Development Bank
13	P-TZ-FA0-013	NORTH-WEST TRANSMISSION GRID	National	OnGo	Investment	Loan	Public	2016/20	20/07/2018	96,71	African Development Bank
14	P-TZ-FAB-004	MALAGARASI HYDROPOWER PROJECT	National	OnGo	Investment	Loan	Public	2016/20	25/11/2020	94,05	African Development Bank
		MALAGARASI HYDROPOWER PROJECT	National	OnGo	Investment	Loan	Public	2016/20	25/11/2020	15,68	Africa Growing Together Fund
15	P-Z1-FAD-009	REGIONAL RUSUMO HYDROPOWER - TANZANIA	Multinational	OnGo	Investment	Loan	Public	2011/15	27/11/2013	17,39	African Development Fund
16	P-Z1-FA0-052	KENYA - TANZANIA INTERCONNECTION (TANZANIA)	Multinational	OnGo	Investment	Loan	Public	2011/15	18/02/2015	75,29	African Development Fund
FINANCE											
17	P-TZ-HAB-009	CRDB BANK LIMITED LINE OF CREDIT 2015	National	OnGo	Line Of Credit	Loan	Private	2016/20	18/05/2016	70,54	African Development Bank
		CRDB BANK LIMITED LINE OF CREDIT 2015	National	OnGo	Line Of Credit	Loan	Private	2016/20	08/06/2016	3,67	Private Sector Credit Enhancement Facility
18	P-TZ-HAB-014	CRDB PLC	National	APVD	Subordinated debt	Loan	Private	2021/25	08/09/2021	39,19	African Development Bank
		CRDB PLC	National	APVD	Line Of Credit	Loan	Private	2021/25	08/09/2021	7,84	African Development Bank
19	P-TZ-HAB-004	TANZANIA SHILLING LINE OF CREDIT TO FRB SUBSIDIARY, FIRST NATIONAL BANK	National	OnGo	Line of credit	Loan	Private	2011/15	12/12/2012	15.06	African Development Bank

N°	Project Code	Project Name	Multinational /National	Status of Project	Project Classification	Instrument	NSO /SO	CSP	Approval Date	Netloan (UA Million)	Source of Funding
MULTI-SECTOR											
20	P-TZ-KF0-006	ISP FOR DOMESTIC RESOURCE MOBILIZATION AND NATURAL RESOURCES	National	OnGo	Investment	Loan	Public	2016/20	30/03/2017	19,58	African Development Fund
COMMUNICATION											
21	P-Z1-GB0-021	TECHNICAL ASSISTANCE - LAKE VICTORIA MARITIME COMMUNICATIONS AND TRANSPORTATION	Multi	OnGo	Investment	Loan	Public	2016/20	24/10/2016	3,77	African Development Fund
INDUSTRY											
22	P-TZ-BZ0-002	AFRICA FRANCHISE ACCELERATOR PROJECT (AFRAP)	National	OnGo	Technical Assistance	Grant	Public	2016/20	25/11/2020	0,63	Fnd for Afr Priv Sec Asst
SOCIAL											
23	P-Z1-IB0-016	EAST AFRICA'S CENTRES OF EXCELLENCE-TANZANIA	Multinational	OnGO	Investment	Loan	Public		03/10/2014	6,25	African Development Fund
24	P-TZ-I00-003	SKILLS DEVELOPMENT FOR YOUTH EMPLOYABILITY IN THE BLUE ECONOMY PROJECT	National	APVD	Investment	Grant	Public	2021/25	26/10/2022	35	African Development Fund

Annex 4 : Status of the Implementation of the IOP as of March 2023

Table A4.4: Status of the Implementation of the IOP as of March 2023

Project	Sector	Year	Amount in UA (Millions)				Status of Implementation	Type
			ADB NSO	ADB SO	ADF	Co-financing		
Priority Area I: Sustainable Infrastructure for a Competitive Economy								
Kakono Hydro Power Project	Agriculture	2021		120		125	Approved in 2022	Sovereign
Dodoma Water Supply and Sanitation	Water and Sanitation	2021			100		Approved in 2022	Sovereign
Mnivala- Newala- Masasi Road Upgrading	Transport	2021		60	20		Approved in 2021	Sovereign
Dar-Dodoma Transmission Line & Chalinze Sub-Station	Energy	2022		150		40	Financed by a Chinese Company	Sovereign
Transport Sector Support Program (Phase II)	Transport	2022		65			Rescheduled to 2024	Sovereign
Mtwara- Ruvuma Water supply and Sanitation	Water and Sanitation	2022		50	70		Rescheduled to 2024	Sovereign
Pemba International Airport	Transport	2022		105			Financed by another DP (UK Export Finance)	Sovereign
Distribution Expansion in Arusha, Dodoma, Mbeya, Mwanza and last-mile connections in Zanzibar	Energy	2023		110			Rescheduled to 2025	Sovereign
Multinational: Malindi-Mombasa-Lunga-/Tanga-Bagamoyo Road (Phase II)	Transport	2023		35	40		Rescheduled to the next strategy period	Sovereign
Dar es salaam Bus Rapid Transit Phase VI	Transport	2023		140			Rescheduled to the next strategy period	Sovereign
Sub-Totals for Priority I (2021-2023)			0	835	230	165		
Priority Area II: Improved Private Sector Business Environment for Job Creation								
NSO investment project in the industrial sector (Msufini Chlor-Alkali Plant Tanzania)	Industry	2021	28				Dropped due to change in client's interests	Non-Sovereign
Agro-Industrial Development / Staple Crop Processing Zone	Agriculture	2021			35	40	Expected to be approved in 2023	Sovereign
Skills Development and Youth Employability in Tourism, Fishery and Maritime Industries Project	Social	2022			30		Approved in 2022	Sovereign
NSO investment project in the agricultural sector (Kilombero Sugar Company Limited Expansion Project)	Agriculture	2022	30				Dropped due to change in client's interests	Non-Sovereign
NSO Credit risk Guarantee in the financial sector (Credit Risk Guarantee to CRDB Bank)	Finance	2022	11				Approved in 2022 as a line of credit	Non-Sovereign
Kikonge Agriculture Value Chain Development	Agriculture	2023			50	15	Rescheduled to the next strategy period	Sovereign
General Budget Support	Governance	2023			50		Expected to be approved in 2023	Sovereign
NSO Line of credit in the financial sector (Line of Credit to Azania Bank Ltd)	Finance	2023	15				Dropped due to change in risk profile of the client	Non-Sovereign
Sub-Totals for Priority II (2021-2023)			84	0	165	55		
Grand Totals Priority I & II (2021-2023)			84	835	395	220		

Annex 5: 2023-2025 Indicative Pipeline

Table A5.5: 2023-2025 Indicative Pipeline

Project name	Priority Area	Sector	Year	Indicative amount (UA millions)	Indicative amount (Priority Area I)	Indicative amount (Priority Area II)
Food Systems Support Project	II	Agriculture	2023	2.5		2.5
PBO Governance Policy Reform Program I	II	Multi-Sector	2023	80		80
Trade Finance Transaction Guarantee- NMB	II	Finance	2023	15.4		15.4
Institutional Support Project for Good Governance - IV	II	Multi-Sector	2023	10		10
SGR Standard Gauge Railway	I	Transport	2023	180	180	
PBO Governance Policy Reform Program II	II	Multi-Sector	2024	90		90
Transport Sector Support Program (Phase II)	I	Transport	2024	65	65	
Dodoma Resilient and Sustainable Water Development and Sanitation Phase II	I	Water Supply/ Sanitation	2024	120	120	
Support for TVET for learning improvement and Youth Employability (SAYEP)	II	Social	2024	60		60
Youth Agri-Business	II	Agriculture	2025	120		120
Expansion of Transmission, Distribution and Last Mile Connectivity Project	I	Power	2025	110	110	
Totals				**852.9**	**475**	**377.9**

Annex 6: Statistical Tables

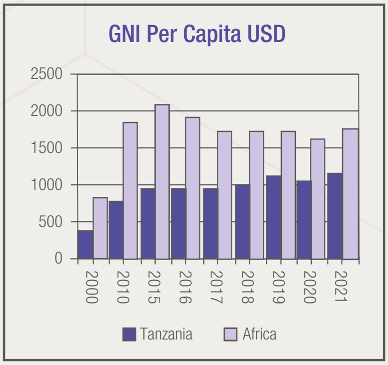
Table A6.6: Selected Macroeconomic Indicators

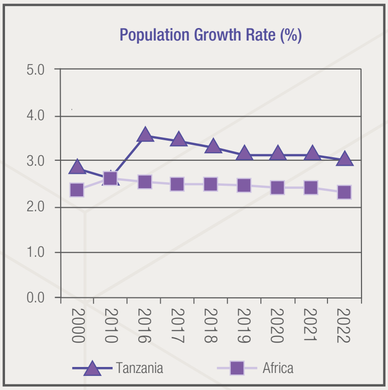
Indicators	Unit	2010	2018	2019	2020	2021	2022 (e)	2023 (p)
National Accounts								
GNI at Current Prices	Million USD	32,028	58,090	64,064	64,790	69,947	...	...
GNI per Capita	USD	710	1,000	1,070	1,050	1,100	...	...
GDP at Current Prices	Million USD	31,410	56,712	60,701	65,549	69,938	84,664	92,317
GDP at 2010 Constant prices	Million USD	31,410	52,594	56,273	58,984	61,901	64,797	68,207
Real GDP Growth Rate	%	6.4	7.0	7.0	4.8	4.9	4.7	5.3
Real per Capita GDP Growth Rate	%	3.6	3.6	3.8	1.7	1.8	1.6	2.2
Gross Domestic Investment	% GDP	27.3	38.8	39.7	39.4	40.3	38.7	36.9
Public Investment	% GDP	20.4	15.2	12.0	11.9	11.3	10.9	10.5
Private Investment	% GDP	6.9	23.6	27.7	27.5	29.0	27.8	26.4
Gross National Savings	% GDP	23.4	34.5	37.7	37.9	37.1	32.6	33.5
Prices and Money								
Inflation (CPI)	%	8.2	3.6	3.4	3.3	3.7	4.3	4.7
Exchange Rate (Annual Average)	Local currency/ USD	1,410.2	2,275.4	2,300.5	2,306.1	2,309.6	2,313.8	2,325.4
Monetary Growth (M2)	%	23.8	5.6	8.0	9.3	9.3	...	...
Money and Quasi Money as % of GDP	%	35.5	28.2	28.2	28.4	29.1	...	...
Government Finance								
Total Revenue and Grants	% GDP	14.9	15.2	14.4	15.3	13.5	16.2	14.5
Total Expenditure and Net Lending	% GDP	20.4	17.1	17.6	17.2	17.3	19.6	18.0
Overall Deficit (-) / Surplus (+)	% GDP	-5.5	-1.9	-3.1	-1.9	-3.8	-3.4	-3.5
External Sector								
Exports Volume Growth (Goods)	%	8.9	10.8	13.0	-0.4	0.6	6.7	9.3
Imports Volume Growth (Goods)	%	7.6	1.0	6.1	0.4	5.6	7.4	6.1
Terms of Trade Growth	%	6.6	-17.4	-0.2	19.9	-2.8	-8.6	-1.3
Current Account Balance	Million USD	-2,211	-2,298	-1,333	-1,450	-2,395	-4,839	-4,463
Current Account Balance	% GDP	-7.0	-4.1	-2.2	-2.2	-3.4	-5.7	-4.8
External Reserves	Months of imports	5.2	5.9	5.7	6.3	5.8	...	...
Debt and Financial Flows								
Debt Service	% exports	3.5	13.9	16.0	18.0	18.4	17.4	15.9
External Debt	% GDP	22.8	37.4	36.6	36.6	38.1	37.9	37.4
Net Total Financial Flows	Million USD	3,031	2,443	1,928	2,242	3,476	...	...
Net Official Development Assistance	Million USD	2,960	2,455	2,126	2,276	2,568	...	...
Net Foreign Direct Investment	Million USD	1,813	972	1,217	685	922	...	...

Source: AfDB Statistics Department: African; IMF: World Economic Outlook, April 2023 and International Financial Statistics, April 2023; AfDB Statistics Department: Development Data Portal Database, April 2023. United Nations: OECD, Reporting System Division.

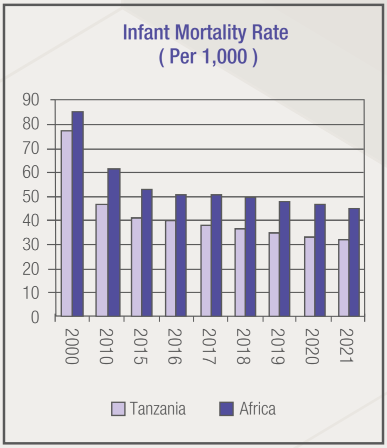
Table A6.7: Socio-Economic Data

	Year	Tanzania	East Africa	Africa	Developing Countries
Basic Indicators					
Surface Area ('000 Km²)	2022	947	6 ,28	30,064	96,259
Total Population (millions)	2022	65.5	398.0	1,424.9	6,619.6
Urban Population (% of Total)	2022	37.3	29.1	44.1	51.7
Population Density (per Km²)	2022	73.9	68.2	48.5	69.8
GNI per Capita (USD)	2021	1,100	1,015	1,874	5,259
Labor Force Participation *- Total (%)	2022	82.6	71.7	62.7	58.7
Labor Force Participation **- Female (%)	2022	78.9	65.8	53.8	44.7
Sex Ratio (per 100 female)	2022	97.7	99.2	99.7	106.0
Human Develop. Index (Rank among 191 countries)	2021	160	…	…	…
Population Living Below USD 1.90 a Day (% of Population)	2007-19	44.9	32.5	30.2	10.0
Demographic Indicators					
Population Growth Rate - Total (%)	2022	3.0	2.6	2.4	1.0
Population Growth Rate - Urban (%)	2022	5.1	4.5	3.5	2.0
Population < 15 years (%)	2022	43.4	41.3	40.2	27.2
Population 15-24 years (%)	2022	20.0	20.6	19.2	16.2
Population >= 65 years (%)	2022	3.1	2.9	3.5	7.9
Dependency Ratio (%)	2022	86.8	79.4	77.4	55.4
Female Population 15-49 years (% of total population)	2022	24.2	24.6	24.2	24.9
Life Expectancy at Birth - Total (years)	2022	66.8	64.3	62.6	70.8
Life Expectancy at Birth - Female (years)	2022	68.9	66.9	64.6	73.3
Crude Birth Rate (per 1,000)	2022	35.8	32.9	32.1	18.6
Crude Death Rate (per 1,000)	2022	6.0	6.8	8.4	7.7
Infant Mortality Rate (per 1,000)	2021	34.1	36.4	46.3	29.7
Child Mortality Rate (per 1,000)	2021	47.1	50.8	66.6	39.9
Total Fertility Rate (per woman)	2022	4.7	4.2	4.2	2.4





	Year	Tanzania	East Africa	Africa	Developing Countries
Maternal Mortality Rate (per 100,000)	2017	524.0	444.2	475.7	231.0
Women Using Contraception (%)	2022	45.2	40.8	38.4	62.5
Health & Nutrition Indicators					
Medical doctors (per 100,000 people)	2010-19	6.0	18.0	38.1	138.0
Nurses and midwives (per 100,000 people)	2010-19	58.4	85.3	106.5	252.7
Births attended by Trained Health Personnel (%)	2011-21	63.7	63.5	67.6	81.0
People Using at least basic drinking water services (% of Population)	2020	60.7	56.1	69.3	88.1
People Using at least basic sanitation services (% of Population)	2020	31.8	25.7	41.9	73.8
Percent of Adults (aged 15-49) Living with HIV/AIDS)	2021	4.5	2.3	2.7	0.9
Incidence of Tuberculosis (per 100,000)	2021	208.0	159.5	185.8	157.0
Child Immunization Against Tuberculosis (%)	2021	75.0	75.7	79.0	88.0
Child Immunization Against Measles (%)	2021	76.0	70.0	68.7	80.6
Underweight Children (% of children under 5 years)	2011-21	14.6	18.0	16.0	14.0
Prevalence of stunting	2011-21	31.8	33.4	30.4	…
Prevalence of undernourishment (% of pop.)	2020	22.6	25.0	18.2	10.8
Current health expenditure (% of GDP)	2019	3.8	4.1	5.1	5.3
Education Indicators					
Gross Enrolment Ratio (%)					
Primary School - Total	2011-21	96.9	104.4	103.0	102.1
Primary School - Female	2011-21	98.4	102.1	101.1	101.0
Secondary School - Total	2011-21	31.4	36.3	53.0	73.2
Secondary School - Female	2011-21	32.9	36.6	51.1	72.6
Primary School Female Teaching Staff (% of Total)	2011-21	49.2	44.8	50.4	64.2
Adult Literacy Rate - Total (%)	2011-21	81.8	67.0	69.7	84.6
Adult Literacy Rate - Male (%)	2011-21	85.5	76.7	74.2	88.5



	Year	Tanzania	East Africa	Africa	Developing Countries
Adult Literacy Rate - Female (%)	2011-21	78.2	62.0	63.5	80.6
Government expenditure on Education (% of GDP)	2011-21	3.3	3.9	3.9	3.8
Environmental Indicators					
Land Use (Arable Land as % of Total Land Area)	2020	15.2	11.5	8.3	11.1
Agricultural Land (as % of land area)	2020	44.6	45.3	37.8	37.2
Forest (As % of Land Area)	2020	51.6	22.1	22.6	31.7
Per Capita CO2 Emissions (metric tons)	2019	0.2	0.2	1.1	3.4

Sources: AfDB Statistics Department Databases; World Bank: World Development Indicators; UNAIDS; UNSD; WHO, UNICEF, UNDP; Country Reports
Note : n.a. : Not Applicable ; … : Data Not Available. * Labor force participation rate, total (% of total population ages 15+)
** Labor force participation rate, female (% of female population ages 15+)

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1 1 Unit of Account (UA) = 1.34701 United States Dollar (USD) as of June 2023

2 The situation evolved recently with the approval in June 2023 of the Tanzania Economic Competitiveness and Social Inclusion Program (ECSIP) Phase I for about UA 81.2 million. This brings the average commitment rate up to 38%.

3 The Tanzania Economic Competitiveness and Social Inclusion Program (ECSIP) Phase I, approved in June 2023, is expected to contribute to these targets.

4 Language used in the Communiqué issued by the Board of Governors at the AfDB's annual meetings in May 2022; Algeria, China, Egypt, Eswatini, Namibia, Nigeria, and South Africa entered a reservation and proposed "Russia-Ukraine conflict."

5 According to Presidential Directive 02/2015, time elapsed from project approval to effectiveness should be no more than three months. It should be no more than six months to first disbursement.

6 Language used in the Communiqué issued by the Board of Governors at the AfDB's annual meetings in May 2022; Algeria, China, Egypt, Eswatini, Namibia, Nigeria, and South Africa entered a reservation and proposed "Russia-Ukraine conflict."

7 Source: Joint WB-IMF Debt Sustainability Analysis Tanzania, September 2021

8 The situation is improving and according to the 2023 Debt Sustainability Analysis (April 2023), Tanzania now has some space to absorb shocks.

9 UNDP's Energy Access and Use Situation Survey II Report of 2020

10 44% of the population under 15 years of age in 2021: https://data.worldbank.org/indicator/SP.POP.0014.TO.ZS?locations=TZ

11 World Bank. 2015. Skill Use, Skill Deficits and Firm Performance in Formal Sector Enterprises: Evidence from the Tanzania Enterprise Skills Survey

12 ADF-15 became effective on 30 June 2020 and covers 2020–2022.

13 ADB headroom can change annually, depending on the analysis of a country's risk. ADF resources vary with each 3-year ADF cycle.

14 Following the Country Office's request to increase Tanzania's allocation, this amount was revised in May 2023 by the Bank's Credit Risk Committee to UA 560 million for SOs and UA 50 million for NSOs.

15 The High 5s are the Bank's top five priorities: Light Up and Power Africa, Feed Africa, Industrialize Africa, Integrate Africa, and Improve the Quality of Life for the People of Africa.

16 The situation evolved recently with the approval in June 2023 of the Tanzania Economic Competitiveness and Social Inclusion Program (ECSIP) Phase I for about UA 81.2 million. This brings the average commitment rate up to 38%.

17 The Tanzania Economic Competitiveness and Social Inclusion Program (ECSIP) – Phase I, approved in June 2023, is expected to contribute to this target.

18 The CSP intends to achieve this with sector-specific interventions aimed at catalyzing the establishment of agro-industrial parks to support the development of competitive agro-industrial value chains, add value to agricultural production, and boost rural economic development and employment, particularly for youth and women agro-entrepreneurs.

19 Project completion report of the Tanzania Agricultural Development Bank project

20 Indeed, the 2020 project appraisal report for the TADB project indicates that "the government had pledged to make annual budgetary allocations of TZS 100 billion each year for capitalizing TADB in order to reach the capitalization target of TZS 800 billion (USD 367.16 million) estimated by the feasibility study for establishing TADB."

21 One example is the construction of the Msalato International Airport, Phase 1, Lot 1, Package 1. The infrastructure took 19 months from bid advertisement to contract signature.

22 The five projects under close watch are the North-West Grid, the Malagarasi Hydropower Project, the Multinational (Tanzania) Rumonge–Gitaza/Kibondo-Kasulu Road Project, the Africa Franchise Accelerator Project (AFRAP), and East Africa's Centers of Excellence-Tanzania.

IDEV

Independent Development Evaluation

African Development Bank

An IDEV **Country Strategy Evaluation**

About this evaluation

Independent Development Evaluation (IDEV) conducted a Mid-Term Evaluation (MTE) of the African Development Bank Group's ("the Bank") Country Strategy Paper (CSP) for Tanzania covering the period 2021 – 2025. The MTE assessed the CSP's implementation and performance by March 2023, to inform the design and implementation of the remaining strategy and program period, and the mid-term review.

As of March 2023, the Bank's active portfolio in Tanzania consisted of 24 projects (21 sovereign, and three non-sovereign) totaling UA 2 billion (USD 2.7 billion), mainly in the sectors of transport, power, plus water supply and sanitation.

The evaluation found that the Bank's strategy and programs were relevant and aligned with Tanzania's development plans, and the Bank's corporate priorities, although the CSP 2021-2025 exceeds the available resources. While most interventions demonstrated positive synergy, some displayed limited internal synergy in their design across various sectors. Relatively few Bank operations planned for 2021–2025 had been approved, but most ongoing operations were expected to achieve their outputs and outcomes at completion, despite some implementation challenges. Efficiency was not found across all sectors, and larger infrastructure interventions were prone to delays. The escalating prices for building materials due to the global economic recession harmed cost efficiency. A need for more accurate costing, especially in the transport sector was noted. The Bank's strategies and programs consistently addressed sustainability issues, but there was room for improvement in financial sustainability planning, especially in the water, energy, and transport sectors.

The evaluation recommended that the Bank should: maintain its strategic focus in Tanzania on sustainable infrastructure and private sector development while aligning the program with the resources available; harmonize its strategic positioning in the agriculture sector; bolster private sector operations; and address the sustainability risks.

IDEV
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African Development Bank

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